NMLS SAFE MLO

Full-Length Practice Exam Phase 1 — Exam 4

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	**100%**	**120**

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 1 — Exam 4 — QUESTIONS (1–120)

■■ Federal Laws ■■

[Federal Laws — TRID]

1. What is the key difference between the LE's 3-business-day delivery requirement and the CD's 3-business-day receipt requirement?

A) There is no difference — both are 3-business-day requirements

B) The LE must be DELIVERED within 3 days of application; the CD must be RECEIVED at least 3 days before closing

C) The LE is delivered at closing; the CD is received at application

D) Both must be received — neither has a delivery option

[Federal Laws — TRID]

2. What is the difference between a 'zero tolerance' fee and a '10% aggregate tolerance' fee under TRID?

A) Zero tolerance fees can never increase; 10% aggregate fees can increase up to 10% individually

B) Zero tolerance fees can never increase; 10% aggregate fees can increase as long as the TOTAL of all 10% category fees doesn't exceed 10% of the LE estimate

C) Both allow increases — zero tolerance allows up to 1% and 10% aggregate allows up to 10%

D) Zero tolerance applies to lender fees only; 10% aggregate applies to borrower-selected fees only

[Federal Laws — TRID]

3. What is the difference between the TRID 7-business-day waiting period and the 3-business-day CD waiting period?

A) The 7-day period runs from LE delivery to consummation; the 3-day period runs from CD receipt to consummation — both must be satisfied

B) The 7-day period is waivable; the 3-day period is not waivable

C) The 7-day period applies to purchase loans; the 3-day period applies to refinances

D) The 7-day period runs from application; the 3-day period runs from LE delivery

[Federal Laws — TRID]

4. How does the TRID definition of 'business day' differ between the LE 3-day delivery rule and the CD 3-day waiting period?

A) For the LE delivery, business days exclude Saturdays; for the CD waiting period, Saturdays count

B) Both use the same definition — all days except Sundays and federal holidays

C) For the LE delivery, Saturdays count; for the CD waiting period, Saturdays do not count

D) There is no difference — all calendar days are business days under TRID

[Federal Laws — TRID]

5. What is the key distinction between a 'changed circumstance' that allows fee increases and a 'lender error' that does not?

A) Changed circumstances are always the borrower's fault; lender errors are always external events

B) Changed circumstances are external events beyond the lender's control; lender errors are the lender's own mistakes that the lender must absorb

C) Lender errors are disclosed on the CD; changed circumstances must be documented on a revised LE

D) There is no practical distinction — both allow the lender to pass increased costs to the borrower

[Federal Laws — TRID]

6. What is the difference between 'Intent to Proceed' and a 'rate lock' under TRID?

A) Intent to Proceed is the borrower's verbal or written confirmation to move forward; a rate lock is a lender commitment to a specific rate for a specific period

B) Intent to Proceed locks the rate; a rate lock is a separate LE issuance trigger

C) Both are the same — expressing Intent to Proceed automatically locks the rate

D) Intent to Proceed is required within 3 business days; a rate lock is required at closing

[Federal Laws — TRID]

7. What is the difference between TRID's 'estimated' and 'actual' closing cost treatment for zero-tolerance items?

A) Estimated costs are on the LE; actual costs are on the CD — for zero-tolerance items, any difference between LE and CD requires a lender cure

B) Estimated costs are optional; actual costs are required on the CD

C) Estimated costs on the LE may be increased by up to 5%; actual costs on the CD are fixed

D) There is no difference — all costs are treated the same regardless of tolerance category

[Federal Laws — TRID]

8. What distinguishes the TRID LE from the pre-TRID Good Faith Estimate (GFE)?

A) The LE has three pages with more detail than the GFE; the GFE had a simpler format with less regulatory teeth

B) The GFE had zero tolerance on all fees; the LE has three tolerance categories

C) The LE is optional; the GFE was required

D) The GFE was provided at closing; the LE is provided at application

[Federal Laws — TRID]

9. What is the difference between a 'loan estimate' and a 'closing disclosure' in terms of their timing and purpose?

A) Both are provided at application — the LE is for estimates and the CD is for final costs

B) The LE is provided within 3 days of application to give early cost estimates; the CD is provided 3 days before closing to give final costs — allowing comparison and last-minute review

C) The CD is provided first; the LE is provided at closing

D) The LE is required; the CD is optional if costs didn't change

[Federal Laws — TRID]

10. What is the key difference between a TRID 'rescission' and a TRID 'cancellation'?

A) Rescission is a TILA right that undoes a loan after closing; cancellation is withdrawal before closing

B) Both result in the same outcome — the loan is not made

C) Rescission applies only to purchase loans; cancellation applies to refinances

D) Rescission requires court approval; cancellation requires lender approval

[Federal Laws — RESPA]

11. What is the primary difference between RESPA Section 8 and RESPA Section 9?

A) Section 8 prohibits kickbacks for referrals of settlement services; Section 9 prohibits sellers from requiring buyers to use a specific title company

B) Section 8 covers escrow accounts; Section 9 covers kickbacks

C) Section 8 is enforced by HUD; Section 9 is enforced by the CFPB

D) Both sections cover the same prohibitions but for different loan types

[Federal Laws — RESPA]

12. What distinguishes a RESPA QWR from a RESPA 'notice of error'?

A) QWRs must relate to loan origination; notices of error relate to servicing

B) Both terms describe the same RESPA written inquiry process — the term 'notice of error' is from Regulation X

C) QWRs require a 5-day acknowledgment; notices of error require 30-day acknowledgment

D) QWRs are for borrowers; notices of error are for servicers

[Federal Laws — RESPA]

13. What is the difference between RESPA's coverage of settlement services and TILA's coverage of credit terms?

A) RESPA covers the settlement process (fees, referrals, escrow); TILA covers the cost and terms of credit (APR, disclosures, rescission)

B) RESPA covers credit terms; TILA covers settlement fees

C) Both cover the same transactions — they just use different terminology

D) RESPA applies after closing; TILA applies before closing

[Federal Laws — RESPA]

14. What is the key difference between RESPA's AfBA disclosure and RESPA's Section 8 kickback prohibition?

A) The AfBA disclosure permits an affiliated arrangement that would otherwise violate Section 8, provided all AfBA conditions are met

B) The AfBA disclosure is required only for Section 9 violations

C) Both cover the same conduct — AfBA disclosures are just the form used to document Section 8 compliance

D) There is no relationship between the AfBA disclosure and Section 8

[Federal Laws — RESPA]

15. What distinguishes a RESPA 'surplus' from a RESPA 'shortage' in an escrow account?

A) A surplus means the escrow balance exceeds what's needed by more than the cushion; a shortage means the balance is less than needed — both require servicer action

B) A surplus is returned to the borrower only after foreclosure; a shortage is collected at origination

C) Both surpluses and shortages over $50 are returned to the borrower

D) A surplus increases the monthly payment; a shortage decreases the monthly payment

[Federal Laws — RESPA]

16. What is the difference between a RESPA-covered 'federally related mortgage loan' and an exempt 'business purpose loan'?

A) Federally related mortgage loans are used for personal, family, or household purposes and are RESPA-covered; business purpose loans are not covered regardless of the collateral

B) Federally related mortgage loans are for loans over $1 million; business purpose loans are under $1 million

C) There is no difference — all loans secured by real property are RESPA-covered

D) Business purpose loans are covered by RESPA only if secured by the borrower's primary residence

[Federal Laws — RESPA]

17. What is the difference between RESPA's treatment of 'referral fees' and 'bona fide service fees'?

A) Referral fees are always prohibited; bona fide service fees for actual services provided are permissible

B) Both are prohibited under RESPA Section 8

C) Bona fide service fees are prohibited; referral fees are permissible with disclosure

D) There is no difference — all fees paid between settlement service providers are prohibited

[Federal Laws — RESPA]

18. What is the primary distinction between RESPA's Section 10 escrow maximum and FHA's escrow requirements?

A) RESPA sets a 2-month maximum cushion; FHA requirements may have different initial escrow deposit requirements at origination

B) RESPA requires no escrow; FHA requires unlimited escrow

C) RESPA escrow requirements only apply after 12 months; FHA escrow begins at day one

D) Both RESPA and FHA use identical escrow calculation methods

[Federal Laws — RESPA]

19. What distinguishes RESPA's prohibition on 'unearned fees' from its prohibition on 'referral fees'?

A) An unearned fee is paid for services not actually performed; a referral fee is paid specifically for sending business

B) Both are the same prohibition — unearned fees and referral fees are identical concepts under RESPA

C) Unearned fees are permissible; referral fees are not

D) Referral fees are permissible if they are small; unearned fees are always prohibited

[Federal Laws — RESPA]

20. What is the key difference between how RESPA and TILA define 'business day'?

A) RESPA uses all calendar days except Sundays for most purposes; TILA uses all days except Sundays and federal holidays for the right of rescission

B) RESPA and TILA use the same definition of business day

C) RESPA defines business day as Monday through Friday only; TILA includes Saturday

D) TILA defines business day as all calendar days; RESPA excludes weekends

[Federal Laws — TILA]

21. What is the key difference between TILA's APR tolerance for 'regular' loans versus 'irregular' loans?

A) Regular loans (fixed rate, level payment) have 1/8% tolerance; irregular loans (ARM, balloon) have 1/4% tolerance

B) Regular loans have 1/4% tolerance; irregular loans have 1/8% tolerance

C) Both types have the same 1/8% tolerance

D) Both types have the same 1/4% tolerance

[Federal Laws — TILA]

22. What distinguishes a TILA 'finance charge' from a TILA 'annual percentage rate' (APR)?

A) The Finance Charge is the dollar amount of credit cost; the APR is the annualized percentage cost of credit expressed relative to the loan amount

B) The Finance Charge includes all costs; the APR includes only interest

C) The APR is the dollar amount; the Finance Charge is the percentage

D) They measure the same thing using different terms

[Federal Laws — TILA]

23. What is the key difference between TILA's right of rescission and TILA's ability-to-repay rule?

A) Right of rescission allows borrowers to cancel certain loans after closing; ATR requires lenders to verify repayment ability before making loans

B) Both are disclosure requirements — right of rescission is a disclosure; ATR is an underwriting standard

C) Right of rescission applies to all loans; ATR applies only to ARM loans

D) They are the same consumer protection under different names

[Federal Laws — TILA]

24. What distinguishes TILA's coverage of 'open-end credit' (like HELOCs) from 'closed-end credit' (like standard mortgages)?

A) Open-end credit has a credit limit and can be drawn and repaid repeatedly; closed-end credit is disbursed once and repaid over a set term — each has distinct TILA disclosure rules

B) Open-end credit is covered by TRID; closed-end credit uses legacy GFE/HUD-1 forms

C) Closed-end credit has a right of rescission; open-end credit does not

D) There is no distinction — all credit has the same TILA requirements

[Federal Laws — TILA]

25. What is the difference between TILA rescission rights for 'purchase money' versus 'refinance' transactions?

A) Purchase money mortgages have no right of rescission; refinances on primary residences have a 3-business-day right of rescission

B) Refinances have no right of rescission; purchase money mortgages have a 3-business-day right

C) Both purchase money and refinance transactions have identical rescission rights

D) The rescission period is 7 days for purchase money and 3 days for refinances

[Federal Laws — TILA]

26. What is the difference between the TILA Finance Charge and the total cost of the mortgage?

A) The Finance Charge includes required costs of credit; the total mortgage cost includes all payments including principal repayment

B) The Finance Charge includes principal; total cost excludes principal

C) They are identical — both measure total mortgage cost

D) The Finance Charge measures only interest; total cost includes all fees

[Federal Laws — TILA]

27. What distinguishes TILA's 'higher-priced mortgage loan' (HPML) from a HOEPA 'high-cost loan'?

A) HPMLs exceed APOR by 1.5% (first lien); high-cost loans exceed APOR by 6.5% (first lien) — high-cost loans have more restrictive rules and prohibited features

B) HPMLs exceed APOR by 6.5% (first lien); high-cost loans exceed APOR by 1.5%

C) Both are the same designation with different names under TILA and RESPA

D) HPMLs apply to purchase loans; high-cost loans apply to refinances

[Federal Laws — TILA]

28. What is the difference between a TILA 'disclosure statement' and a TILD 'Loan Estimate'?

A) The TILA disclosure statement was the pre-TRID disclosure; the Loan Estimate replaced it for applications after October 3, 2015

B) The TILA disclosure statement is required at closing; the Loan Estimate is provided before application

C) Both are the same form with different names

D) The Loan Estimate is optional; the TILA disclosure was required

[Federal Laws — ECOA]

29. What is the primary difference between ECOA's 'disparate treatment' and 'disparate impact' discrimination?

A) Disparate treatment is intentional discrimination based on a protected class; disparate impact is unintentional discrimination resulting from a neutral policy

B) Disparate impact is intentional; disparate treatment is unintentional

C) Both require intent to discriminate to constitute an ECOA violation

D) Neither type of discrimination is covered by ECOA — both are only FHA violations

[Federal Laws — ECOA]

30. What distinguishes ECOA's protected classes from Fair Housing Act protected classes?

A) ECOA protects marital status and age; FHA protects familial status and handicap — both protect race, color, religion, national origin, and sex

B) ECOA and FHA protect identical classes

C) FHA protects marital status; ECOA protects familial status

D) ECOA and FHA are unrelated laws with no overlapping protected classes

[Federal Laws — ECOA]

31. What is the difference between an ECOA 'adverse action' notification and a TILA disclosure?

A) ECOA adverse action is a post-denial notification explaining why credit was denied; TILA disclosures are pre-close disclosures of credit terms

B) Both are the same type of disclosure provided at application

C) ECOA adverse action applies to all loans; TILA disclosures apply only to mortgages

D) TILA disclosures explain why credit was denied; ECOA discloses credit terms

[Federal Laws — ECOA]

32. What is the key difference between ECOA's treatment of 'income from alimony' and 'income from child support'?

A) Both alimony and child support are treated identically under ECOA — they cannot be excluded or discounted

B) Alimony can be excluded; child support must be considered

C) Child support can be excluded; alimony must be considered

D) Neither alimony nor child support is covered by ECOA income protections

[Federal Laws — ECOA]

33. What distinguishes ECOA's 30-day adverse action deadline from RESPA's 30-day QWR resolution deadline?

A) The ECOA 30 days runs from receiving a completed application; the RESPA 30 days runs from receiving a QWR — both are in business days

B) The ECOA 30 days runs from the completed application; the RESPA 30 days runs from receiving a QWR — ECOA uses calendar days and RESPA uses business days

C) Both run from the completed application

D) Both use calendar days

[Federal Laws — ECOA]

34. What is the difference between ECOA's prohibition on 'marital status discrimination' and the FHA's absence of marital status protection?

A) ECOA prohibits credit discrimination based on marital status; the FHA does not protect marital status in housing transactions — so a landlord refusing to rent to unmarried couples may violate state law but not federal FHA

B) Both laws equally protect marital status

C) FHA prohibits marital status discrimination; ECOA does not

D) Neither law protects marital status

[Federal Laws — ECOA]

35. What is the key difference between ECOA and the Fair Credit Reporting Act (FCRA) in the adverse action context?

A) ECOA requires specific denial reasons based on credit criteria; FCRA requires disclosure of the credit bureau used and the consumer's right to a free credit report

B) Both laws require exactly the same adverse action notification

C) FCRA requires denial reasons; ECOA requires credit bureau disclosure

D) Neither law requires adverse action notification

[Federal Laws — ECOA]

36. What distinguishes ECOA's applicability to 'completed' versus 'incomplete' applications?

A) ECOA's 30-day adverse action deadline applies to completed applications; incomplete applications require only a notice of incompleteness

B) ECOA applies only to completed applications — incomplete applications have no ECOA protections

C) Incomplete applications have longer adverse action timelines than completed applications

D) There is no distinction — all applications trigger the 30-day ECOA clock

[Federal Laws — ECOA]

37. What is the primary difference between ECOA and the Community Reinvestment Act (CRA) in their approaches to fair lending?

A) ECOA prohibits discrimination against individual applicants based on protected characteristics; CRA requires banks to meet the credit needs of low-to-moderate income communities

B) CRA is a consumer protection law; ECOA is a community development law

C) Both laws prohibit the same discriminatory lending practices

D) CRA applies to all lenders; ECOA applies only to banks

[Federal Laws — ECOA]

38. What distinguishes ECOA's appraisal copy requirement from its broader anti-discrimination protections?

A) The appraisal copy requirement is a specific procedural right — borrowers receive a copy of the appraisal regardless of protected class; the anti-discrimination protections prohibit differential treatment based on protected class

B) The appraisal copy requirement is an anti-discrimination protection

C) Only borrowers who are members of protected classes receive appraisal copies

D) The appraisal copy requirement was eliminated by TRID

[Federal Laws — Fair Housing]

39. What is the key difference between the Fair Housing Act's 'steering' and 'redlining' prohibitions?

A) Steering involves directing individuals based on protected characteristics; redlining involves denying credit/services based on geographic area demographics

B) Redlining involves directing individuals; steering involves geographic denial

C) Both terms describe the same practice under the FHA

D) Steering applies to renters; redlining applies to buyers

[Federal Laws — Fair Housing]

40. What distinguishes 'disparate treatment' from 'disparate impact' under fair lending laws?

A) Disparate treatment requires discriminatory intent; disparate impact results from neutral policies with discriminatory effects

B) Disparate impact requires intent; disparate treatment is unintentional

C) Both require the same proof — unequal outcomes for protected classes

D) Neither is a recognized theory under the Fair Housing Act

[Federal Laws — Fair Housing]

41. What is the difference between the Fair Housing Act's prohibition on housing discrimination and ECOA's prohibition on credit discrimination?

A) FHA covers discrimination in housing transactions broadly (sale, rental, financing); ECOA covers discrimination specifically in credit transactions

B) ECOA covers housing transactions; FHA covers credit decisions

C) Both laws cover exactly the same transactions

D) FHA covers renters; ECOA covers buyers only

[Federal Laws — Fair Housing]

42. What distinguishes the Fair Housing Act exemption for 'Mrs. Murphy' (owner-occupied 1-4 unit) from the exemption for senior housing?

A) Mrs. Murphy exemption applies to small owner-occupied rental properties; senior housing exemption applies to age-restricted communities meeting HUD criteria

B) Mrs. Murphy exemption applies to senior housing; senior housing exemption applies to small rentals

C) Both exemptions cover the same properties

D) Neither exemption is valid — the FHA has no exceptions

[Federal Laws — Fair Housing]

43. What is the difference between FHA 'blockbusting' and FHA 'redlining'?

A) Blockbusting is inducing panic selling by suggesting protected-class members moving in will harm values; redlining is geographically denying services based on neighborhood composition

B) Redlining is inducing panic selling; blockbusting is geographic denial

C) Both describe the same practice of geographic discrimination

D) Blockbusting applies to lenders; redlining applies to real estate agents only

[Federal Laws — Fair Housing]

44. What distinguishes the FHA's protection of 'handicap' from ECOA's protection of 'age'?

A) FHA's handicap protection covers disability in housing; ECOA's age protection prevents credit discrimination against those who can legally contract

B) ECOA covers handicap; FHA covers age

C) Both protect age and handicap — the laws cover identical classes

D) Neither law protects age or disability

[Federal Laws — HOEPA]

45. What is the key difference between HOEPA's APR trigger for first-lien loans versus subordinate-lien loans?

A) First-lien trigger is APOR + 6.5%; subordinate-lien trigger is APOR + 8.5%

B) First-lien trigger is APOR + 8.5%; subordinate-lien trigger is APOR + 6.5%

C) Both have the same APOR + 6.5% trigger

D) Both have the same APOR + 8.5% trigger

[Federal Laws — HOEPA]

46. What distinguishes HOEPA's points-and-fees trigger for loans over $20,000 versus loans under $20,000?

A) Over $20,000: 5% of loan amount; Under $20,000: lesser of 8% or $1,000

B) Over $20,000: 8% of loan amount; Under $20,000: 5% of loan amount

C) Both use the same 5% threshold regardless of loan size

D) Both use the same 8% threshold regardless of loan size

[Federal Laws — HOEPA]

47. What is the difference between HOEPA's prohibition on balloon payments and QM's balloon payment rules?

A) HOEPA prohibits balloon payments maturing in less than 5 years on high-cost loans; QM generally prohibits all balloon payments except for small creditors in rural/underserved areas

B) QM prohibits balloon payments entirely; HOEPA allows them if disclosed

C) HOEPA and QM have identical balloon payment rules

D) Both allow 5-year balloon payments if disclosed on the CD

[Federal Laws — HOEPA]

48. What distinguishes HOEPA's treatment of 'prepayment penalties' from QM's treatment?

A) HOEPA bans prepayment penalties on high-cost loans entirely; QM allows prepayment penalties during the first 36 months for certain QM loans

B) QM bans prepayment penalties entirely; HOEPA allows them for the first 3 years

C) Both ban prepayment penalties after 3 years

D) Neither law restricts prepayment penalties

[Federal Laws — HOEPA]

49. What is the key difference between HOEPA 'equity stripping' and HOEPA 'loan flipping'?

A) Equity stripping is lending based on collateral without regard to repayment ability; loan flipping is repeatedly refinancing without tangible net benefit

B) Loan flipping is lending based on collateral only; equity stripping is repeated refinancing

C) Both describe the same predatory practice

D) Equity stripping involves rate increases; loan flipping involves fee increases

[Federal Laws — HOEPA]

50. What distinguishes HOEPA's required counseling from the counseling required for FHA first-time homebuyers?

A) HOEPA counseling must be from an independent HUD-approved agency and occur before a high-cost loan is made; FHA first-time homebuyer counseling is recommended but not universally required

B) FHA counseling is mandatory; HOEPA counseling is optional

C) Both require identical counseling from identical sources

D) HOEPA counseling occurs after closing; FHA counseling occurs at application

[Federal Laws — HMDA]

51. What is the primary distinction between HMDA's data collection purposes and CRA's purposes?

A) HMDA collects data to identify lending patterns; CRA requires banks to actively serve community credit needs

B) CRA collects data; HMDA requires active lending in underserved areas

C) Both laws require data collection and active lending

D) HMDA applies to all lenders; CRA applies only to non-bank lenders

[Federal Laws — HMDA]

52. What distinguishes HMDA's reporting of 'home purchase' loans from 'home improvement' loans?

A) Home purchase loans are for acquiring property; home improvement loans are for improvements to existing property — both are HMDA-reportable if secured by a dwelling

B) Only home purchase loans are HMDA-reportable

C) Home improvement loans are never reportable under HMDA

D) Home improvement loans require separate RESPA disclosures that replace HMDA reporting

[Federal Laws — HMDA]

53. What is the difference between HMDA's pre-2018 and post-2018 (Dodd-Frank expanded) data collection requirements?

A) Post-2018 HMDA added many new data points including rate spread, LTV, DTI, credit score, and age; pre-2018 HMDA collected fewer data points

B) Pre-2018 HMDA collected more data; post-2018 is simplified

C) There is no difference — HMDA requirements have never changed

D) Post-2018 HMDA eliminated the requirement to collect race and ethnicity data

[Federal Laws — HMDA]

54. What distinguishes HMDA's treatment of 'originated' loans from 'purchased' loans in the HMDA Loan Application Register?

A) Originated loans are reported with full application data; purchased loans are reported with fewer data points — both must be included in the LAR

B) Only originated loans appear on the LAR; purchased loans are not reportable

C) Purchased loans require more data than originated loans

D) There is no distinction — all loans are reported identically

[Federal Laws — HMDA]

55. What distinguishes HMDA's 'rate spread' data point from the HOEPA 'APR trigger'?

A) Rate spread is the difference between APR and APOR reported on HMDA; the HOEPA APR trigger is a threshold that determines whether HOEPA applies — both use APOR as a benchmark

B) Rate spread determines HOEPA applicability; HOEPA trigger is reported on HMDA

C) Both measure the same thing with different names

D) Rate spread is used only for RESPA; HOEPA trigger is used only for TILA

[Federal Laws — HMDA]

56. What is the difference between how HMDA reports 'denied applications' versus how ECOA handles 'adverse action' on denied applications?

A) HMDA reports the denial and the denial reasons; ECOA requires a written adverse action notice be sent to the applicant with specific reasons

B) HMDA sends the adverse action notice; ECOA reports the denial data

C) Both require written notice to the applicant

D) Neither requires disclosure of denial reasons

[Federal Laws — Dodd-Frank]

57. What is the key difference between a 'safe harbor' QM and a 'rebuttable presumption' QM?

A) Safe harbor QMs (lower-priced) have conclusive ATR compliance; rebuttable presumption QMs (higher-priced) can be challenged by borrowers who can prove ATR violation

B) Rebuttable presumption QMs have conclusive compliance; safe harbor QMs can be challenged

C) Both types have identical legal protection for lenders

D) Safe harbor applies to adjustable rates; rebuttable presumption applies to fixed rates

[Federal Laws — Dodd-Frank]

58. What distinguishes UDAAP's 'unfair' standard from its 'abusive' standard?

A) Unfair: substantial harm that consumers cannot reasonably avoid; Abusive: taking unreasonable advantage of consumer's inability to protect their own interests

B) Abusive: substantial harm; Unfair: taking unreasonable advantage

C) Both standards require the same analysis — unfair and abusive are synonymous

D) Unfair applies to lenders; abusive applies to servicers

[Federal Laws — Dodd-Frank]

59. What is the primary difference between the CFPB's enforcement authority under UDAAP versus its authority under TILA?

A) UDAAP is a broader catch-all that allows the CFPB to act even without a specific statutory violation; TILA provides specific statutory rules that the CFPB enforces as written

B) TILA is broader than UDAAP; TILA can be used where UDAAP cannot

C) Both provide identical enforcement authority for the CFPB

D) UDAAP applies only to mortgages; TILA applies to all consumer credit

[Federal Laws — Dodd-Frank]

60. What distinguishes the Dodd-Frank ATR rule from the QM safe harbor?

A) ATR is the underlying requirement all lenders must satisfy; QM is an optional route to a legal presumption of ATR compliance

B) QM is mandatory; ATR compliance is optional for QM lenders

C) Both are mandatory — all loans must be QM to comply with ATR

D) ATR applies to non-QM loans only; QM lenders are exempt from ATR

■■ General Mortgage ■■

[General Mortgage — Loan Types]

61. What is the key difference between 'conforming' and 'non-conforming' conventional loans?

A) Conforming loans meet GSE purchase guidelines including loan limits; non-conforming loans exceed limits or fail to meet guidelines

B) Conforming loans have government guarantees; non-conforming loans do not

C) Non-conforming loans meet GSE guidelines but are too small for GSE purchase

D) Conforming loans are insured by FHA; non-conforming are not

[General Mortgage — FHA/VA/USDA]

62. What is the key difference between FHA mortgage insurance premium (MIP) and conventional private mortgage insurance (PMI)?

A) FHA MIP has an upfront premium and ongoing monthly premium that may last the loan lifetime; PMI is monthly only and cancels at 80% LTV

B) PMI has an upfront premium; FHA MIP is monthly only

C) FHA MIP and PMI are interchangeable terms for the same product

D) PMI lasts the loan lifetime; FHA MIP cancels at 80% LTV

[General Mortgage — ARM Products]

63. What is the difference between an ARM's 'initial cap' and 'periodic cap'?

A) Initial cap limits the first rate adjustment after the fixed period; periodic cap limits each subsequent adjustment

B) Periodic cap limits the first adjustment; initial cap limits all subsequent adjustments

C) Both caps limit all adjustments equally throughout the loan term

D) Initial cap applies to the lifetime of the loan; periodic cap applies only to year one

[General Mortgage — Underwriting/QM]

64. What distinguishes a 'front-end' DTI from a 'back-end' DTI for underwriting purposes?

A) Front-end includes only PITI; back-end includes PITI plus all monthly debt obligations

B) Back-end includes only PITI; front-end includes all monthly debts

C) Both DTI ratios include all monthly obligations

D) Front-end DTI uses gross income; back-end DTI uses net income

[General Mortgage — Mortgage Math]

65. A borrower takes a $180,000 loan at 4% annual interest. What is the FIRST month's interest payment?

A) $600

B) $720

C) $900

D) $540

[General Mortgage — Loan Types]

66. What is the primary difference between a 'closed-end' second mortgage and a HELOC?

A) Closed-end second mortgage disburses a lump sum and has fixed payments; HELOC has a draw period with a revolving credit line

B) HELOCs disburse lump sums; closed-end seconds have revolving credit

C) Both have identical structures with different names

D) Closed-end seconds are government-backed; HELOCs are conventional

[General Mortgage — FHA/VA/USDA]

67. What is the primary difference between VA's 'entitlement' and the VA 'loan limit'?

A) Entitlement is the amount VA guarantees to the lender; VA eliminated loan limits for borrowers with full entitlement

B) Loan limits determine VA eligibility; entitlement is the credit score requirement

C) Both entitlement and loan limits are the same concept under different names

D) VA entitlement was eliminated in 2020; loan limits remain for all VA borrowers

[General Mortgage — ARM Products]

68. What distinguishes an ARM's 'floor' from its 'lifetime cap'?

A) The floor is the minimum rate the ARM can reach; the lifetime cap is the maximum rate increase allowed

B) The lifetime cap is the minimum rate; the floor is the maximum increase

C) Both limit the maximum rate the ARM can reach

D) The floor limits monthly payments; the lifetime cap limits the interest rate

[General Mortgage — Underwriting/QM]

69. What distinguishes a 'full documentation' loan from a 'stated income' loan?

A) Full doc loans require verification of all income with third-party documents; stated income loans rely on borrower-stated income without verification

B) Stated income loans require full verification; full doc loans rely on stated income

C) Both are required to verify income under Dodd-Frank's ATR rule

D) Full doc and stated income are the same — all loans must fully verify income

[General Mortgage — Mortgage Math]

70. A borrower's gross annual income is $96,000. Their monthly PITI is $2,200 and other monthly debts total $500. What are the front-end and back-end DTI ratios?

A) Front-end: 27.5% / Back-end: 33.75%

B) Front-end: 22% / Back-end: 27.5%

C) Front-end: 33.75% / Back-end: 22%

D) Front-end: 25% / Back-end: 33.75%

[General Mortgage — Loan Types]

71. What is the key difference between a 'purchase money first mortgage' and a 'purchase money second mortgage'?

A) A purchase money first mortgage provides the primary acquisition financing; a purchase money second mortgage provides additional financing to bridge the gap between the first mortgage and the purchase price

B) Both are the same type of loan — 'purchase money' is the distinction

C) A purchase money second mortgage is a cash-out refinance

D) Purchase money first mortgages require 20% down; second mortgages do not

[General Mortgage — FHA/VA/USDA]

72. What distinguishes a VA 'IRRRL' (Interest Rate Reduction Refinance Loan) from a standard VA refinance?

A) IRRRL requires less documentation than a standard VA refinance and must result in a lower rate; a standard VA refinance may be used for cash-out or rate reduction with more documentation

B) IRRRL can be used for cash-out; standard VA refinance cannot

C) IRRRL requires full income verification; standard VA refinance does not

D) Both VA refinances have identical documentation requirements

[General Mortgage — ARM Products]

73. What is the difference between an ARM's 'index' and its 'margin'?

A) The index is a variable published benchmark; the margin is a fixed addition that does not change

B) The margin is variable; the index is fixed

C) Both index and margin change at each adjustment period

D) The index and margin are the same component with different names

[General Mortgage — Underwriting/QM]

74. What is the difference between Fannie Mae's 'Desktop Underwriter' (DU) and Freddie Mac's 'Loan Product Advisor' (LPA)?

A) DU and LPA are competing automated underwriting systems from Fannie Mae and Freddie Mac respectively — both evaluate loan eligibility for GSE purchase

B) DU is manual underwriting; LPA is automated

C) LPA is for government loans; DU is for conventional loans only

D) Both DU and LPA are operated by HUD for FHA loans

[General Mortgage — Mortgage Math]

75. A property sells for $350,000. The buyer puts 20% down. The closing costs are $8,000, of which the seller is paying $4,000. How much cash does the buyer need to bring to closing?

A) $74,000

B) $78,000

C) $70,000

D) $82,000

[General Mortgage — Loan Types]

76. What distinguishes a 'reverse mortgage' from a traditional forward mortgage?

A) A reverse mortgage pays the homeowner proceeds from their equity; a forward mortgage provides funds to purchase or refinance with repayment over time

B) A forward mortgage pays homeowners equity; a reverse mortgage requires monthly payments

C) Both require monthly principal and interest payments

D) A reverse mortgage is only available for purchase transactions

[General Mortgage — FHA/VA/USDA]

77. What is the difference between a USDA Direct loan and a USDA Guaranteed loan?

A) USDA Direct loans are funded directly by USDA for very low-income borrowers; USDA Guaranteed loans are made by approved private lenders with USDA guaranteeing repayment

B) USDA Guaranteed loans are funded by USDA; Direct loans are made by private lenders

C) Both USDA Direct and Guaranteed loans are made by private banks

D) USDA Guaranteed loans require no income qualification; Direct loans have income limits

[General Mortgage — ARM Products]

78. What is the difference between an ARM's 'first adjustment cap' and how it interacts with the 'periodic cap'?

A) The first adjustment cap applies only to the initial rate change; the periodic cap applies to all subsequent adjustments — they are separate, independently applied limits

B) The periodic cap applies first; the first adjustment cap applies afterward

C) Both caps apply simultaneously to every adjustment

D) The first adjustment cap is always equal to the periodic cap

[General Mortgage — Underwriting/QM]

79. What distinguishes a 'layered risk' loan from a standard conventional loan?

A) A layered risk loan combines multiple risk factors (low credit score, high LTV, high DTI simultaneously); a standard loan may have one risk factor within acceptable limits

B) Standard loans have more risk than layered risk loans

C) Layered risk is a required disclosure on all loan applications

D) Both terms describe the same type of loan

[General Mortgage — Mortgage Math]

80. A borrower refinances a $200,000 balance at a new rate that reduces their payment by $150/month. Closing costs are $4,500. What is the break-even point in months?

A) 20 months
B) 30 months
C) 25 months
D) 40 months

■■ Loan Origination ■■

[Loan Origination — Application/1003]

81. What is the difference between a 'prequalification' and a 'preapproval' for mortgage purposes?

A) Prequalification is an informal estimate based on stated information; preapproval is a more rigorous review with credit pull and verified documentation
B) Preapproval is informal; prequalification requires full documentation
C) Both are the same — the terms are interchangeable
D) Prequalification triggers the LE; preapproval does not

[Loan Origination — Income/DTI]

82. What is the difference between 'gross income' and 'net income' for DTI calculation purposes?

A) DTI always uses gross income (before taxes and deductions); net income is after taxes and is not used for standard DTI calculations
B) DTI uses net income; gross income is not used in mortgage calculations
C) Both can be used interchangeably for DTI calculations
D) Gross income is used only for self-employed borrowers; W-2 employees use net income

[Loan Origination — Credit Analysis]

83. What distinguishes 'Chapter 7 bankruptcy' from 'Chapter 13 bankruptcy' for mortgage eligibility purposes?

A) Chapter 7 liquidation typically has a 4-year waiting period for conventional; Chapter 13 reorganization (with court approval 12 months into the plan) may allow conventional financing with only 2 years from dismissal
B) Chapter 13 has a longer waiting period than Chapter 7 for all loan types
C) Both bankruptcies have identical waiting periods for all loan programs
D) Chapter 7 allows immediate mortgage qualification after discharge

[Loan Origination — Disclosures]

84. What is the difference between the 'right to receive appraisal' notice under ECOA and the appraisal copy timing requirement?

A) The notice must be provided within 3 business days of application; the copy must be provided promptly and no later than 3 business days before consummation
B) Both must be provided at closing
C) The notice is provided after the appraisal; the copy is provided before the appraisal
D) There is no difference — both are provided simultaneously at application

[Loan Origination — Processing/Closing]

85. What distinguishes a 'title commitment' from a 'title policy'?

A) A title commitment is issued before closing, promising to issue a title policy upon meeting conditions; a title policy is the actual insurance document issued after closing
B) A title policy is issued before closing; a title commitment is issued after
C) Both documents provide identical title insurance coverage
D) A title commitment is required only for government-backed loans

[Loan Origination — Income/DTI]

86. What is the difference between 'verifiable' and 'non-verifiable' income for ATR compliance?

A) Verifiable income can be documented by reliable third-party records (tax returns, pay stubs, bank statements); non-verifiable income cannot be confirmed — only verifiable income may be used under ATR

B) Non-verifiable income may be used with compensating factors

C) Both are permitted under ATR as long as the borrower signs a declaration

D) Verifiable income requires a credit score above 720 to qualify

[Loan Origination — Credit Analysis]

87. What is the difference between a borrower's credit score and their credit history for underwriting purposes?

A) Credit score is a numerical summary of creditworthiness; credit history is the detailed record of credit accounts and payment patterns — underwriters use both

B) Credit history is a numerical score; credit score is the detailed account history

C) Only the credit score is used in underwriting — credit history is irrelevant

D) Credit scores and credit history are the same information presented differently

[Loan Origination — Application/1003]

88. What distinguishes the borrower's 'declarations' section from the 'assets and liabilities' section of the URLA?

A) Declarations are yes/no attestations about legal/credit history matters; assets and liabilities list specific financial account balances

B) Assets and liabilities are yes/no attestations; declarations list account balances

C) Both sections collect identical financial information

D) The declarations section lists real property owned; assets and liabilities lists current debts

[Loan Origination — Processing/Closing]

89. What is the difference between the 'recording' and 'funding' of a mortgage loan?

A) Funding is the lender disbursing funds; recording is the county's official registration of the mortgage lien — both must occur for the transaction to be complete

B) Recording happens first; funding happens after recording

C) Funding and recording are the same event

D) Recording is optional; funding is required

[Loan Origination — Income/DTI]

90. What distinguishes 'base salary' from 'total compensation' for qualifying income purposes?

A) Base salary is stable guaranteed income usable for qualifying; total compensation may include variable components (bonus, commissions) that require 2-year history

B) Total compensation is always used for qualifying; base salary is excluded

C) Both base salary and total compensation are treated identically

D) Total compensation cannot be used for qualifying under any guidelines

[Loan Origination — Credit Analysis]

91. What is the difference between a 'mortgage-only' credit score and a standard consumer FICO score?

A) Mortgage credit scores use older FICO models (FICO 2/4/5) specific to mortgage lending; consumer FICO scores (FICO 8) are newer, general-purpose models

B) FICO 8 is used for mortgage underwriting; older models are for consumer credit

C) There is no difference — all FICO scores are identical

D) Mortgage scores are always higher than consumer scores

[Loan Origination — Disclosures]

92. What is the difference between the three-day TRID LE delivery rule and the three-day ECOA appraisal notice rule?

A) Both must be provided within 3 business days of application, but the LE is for cost/term disclosure and the appraisal notice informs borrowers of their right to receive the appraisal

B) The LE is provided at closing; the appraisal notice is provided at application

C) Only the LE is required within 3 days; there is no 3-day appraisal notice

D) Both are provided simultaneously on the same form

[Loan Origination — Processing/Closing]

93. What distinguishes the role of the 'title agent' from the 'closing agent' in a mortgage transaction?

A) Title agent provides title search and insurance; closing agent coordinates the closing — often the same company performs both roles

B) Closing agent is a government official; title agent is a private company

C) Both are identical roles performed by different companies

D) Title agents are licensed by HUD; closing agents are licensed by states

[Loan Origination — Income/DTI]

94. What is the difference between using rental income from a 'subject property' (the property being purchased) versus a 'non-subject investment property'?

A) Subject property rental income may require different documentation (lease vs. tax returns); non-subject investment property income typically requires a 2-year tax return history

B) Non-subject property income is always excluded; subject property income is always included

C) Both types of rental income are treated identically

D) Subject property rental income cannot be used for conventional loans

[Loan Origination — Application/1003]

95. What distinguishes a 'co-borrower' from a 'co-signer' in a mortgage application?

A) A co-borrower is on the title and the loan; a co-signer is typically on the loan only, not on title, and may have different ownership rights

B) A co-signer is on title and the loan; a co-borrower is on the loan only

C) Both terms are interchangeable in mortgage lending

D) Co-borrowers must live in the property; co-signers cannot

[Loan Origination — Credit Analysis]

96. What is the difference between a 'soft pull' and a 'hard pull' credit inquiry for mortgage purposes?

A) Soft pulls (prequalification) do not affect the credit score; hard pulls (full credit application) create inquiries that may reduce the score slightly

B) Hard pulls never affect credit scores; soft pulls reduce the score

C) Both soft and hard pulls affect the credit score equally

D) Only hard pulls are used in mortgage underwriting; soft pulls are not permissible

[Loan Origination — Processing/Closing]

97. What distinguishes 'dry closing' from 'wet closing' states?

A) Wet closing states fund at closing; dry closing states may have a gap between signing and funding (common in California and other western states)

B) Dry closing states require immediate funding; wet closing states allow delayed funding

C) Both terms describe the same closing process

D) Wet closing states require attorney involvement; dry closing states do not

[Loan Origination — Income/DTI]

98. What is the difference between 'bonus income' and 'overtime income' for qualifying purposes?

A) Both bonus and overtime income require a 2-year history to use for qualifying — the main difference is that bonuses are employer-discretionary while overtime may be more regular

B) Bonus income requires only a 1-year history; overtime requires 2 years

C) Overtime income cannot be used; bonus income always can

D) Both require 5 years of history for conventional loans

[Loan Origination — Processing/Closing]

99. What distinguishes 'prior to approval' (PTA) conditions from 'prior to closing' (PTC) conditions in underwriting?

A) PTA conditions must be satisfied before the underwriter issues final approval; PTC conditions must be satisfied before the loan can close

B) PTC conditions are satisfied before approval; PTA conditions are satisfied before closing

C) Both types of conditions must be satisfied simultaneously at closing

D) There is no distinction — all conditions are handled at closing

[Loan Origination — Disclosures]

100. What is the difference between a TRID 'revised Loan Estimate' and a 'Closing Disclosure' with changed terms?

A) A revised LE updates estimated costs during the application process due to changed circumstances; a CD with changes reflects final actual costs at closing

B) A CD is issued before closing; a revised LE is issued at closing

C) Both contain the same information with different names

D) Only a revised LE can reflect changed costs — the CD cannot show changes from the LE

■■ Ethics ■■

[Ethics — UDAAP]

101. What is the key difference between UDAAP's 'deceptive' standard and its 'abusive' standard?

A) Deceptive: misleads a reasonable consumer about a material fact; Abusive: takes unreasonable advantage of a consumer's weakness or inability to protect their interests

B) Abusive: misleads consumers; Deceptive: exploits weaknesses

C) Both standards require proof of intentional misconduct

D) The standards are identical — deceptive and abusive describe the same conduct

[Ethics — Fraud]

102. What is the key difference between 'material misrepresentation' and a 'minor omission' in mortgage fraud analysis?

A) Material misrepresentation involves facts that would affect the lender's credit decision; minor omissions may be errors that don't affect the credit decision

B) Minor omissions are always criminal; material misrepresentations are civil only

C) There is no legal distinction — all misrepresentations are treated the same

D) Material misrepresentation only applies to income; minor omissions apply to assets

[Ethics — Professional Conduct]

103. What distinguishes an MLO's ethical obligation when a borrower asks them to recommend between two loan products?

A) The MLO should present both products objectively with accurate cost information and let the borrower decide; Dodd-Frank anti-steering rules prohibit steering based on the MLO's compensation

B) MLOs should always recommend the lower-cost product regardless of the borrower's needs

C) MLOs have no ethical obligation to compare products — they should recommend their company's preferred product

D) MLOs must recommend the product with the highest yield spread premium

[Ethics — Predatory Lending]

104. What is the difference between 'predatory lending' and 'subprime lending'?

A) Subprime lending offers credit to borrowers with imperfect credit at higher rates; predatory lending exploits borrowers through deceptive or harmful practices regardless of credit quality

B) Predatory lending is legal subprime lending; subprime is always predatory

C) Both terms describe identical lending practices

D) Subprime lending is prohibited; predatory lending is regulated but permitted

[Ethics — UDAAP]

105. What distinguishes a UDAAP 'unfair' act from conduct that is merely 'inconvenient' to consumers?

A) An unfair act causes SUBSTANTIAL harm; inconvenience is a minor, avoidable issue that does not meet the substantial harm threshold

B) Any inconvenience constitutes unfairness under UDAAP

C) Unfair acts require intentional harm; inconvenience is accidental

D) There is no legal distinction between unfair and inconvenient acts

[Ethics — Fraud]

106. What is the difference between 'occupancy fraud' and 'income fraud' in mortgage origination?

A) Occupancy fraud misrepresents the intended use (primary vs. investment); income fraud misrepresents the borrower's earnings to qualify

B) Income fraud involves property use; occupancy fraud involves income inflation

C) Both describe the same fraudulent act under different names

D) Occupancy fraud is a civil matter; income fraud is criminal

[Ethics — Professional Conduct]

107. What is the key difference between an MLO's disclosure obligation and their fiduciary duty?

A) Disclosure obligation requires sharing specific information required by law; broader duty of care requires acting in the borrower's best interest

B) Fiduciary duty requires only disclosure; acting in the borrower's interest is optional

C) Both disclosure and fiduciary duty require identical conduct

D) Disclosure obligations apply to lenders; fiduciary duties apply only to brokers

[Ethics — UDAAP]

108. What is the key difference between UDAAP violations that result in 'restitution' versus those that result in 'civil money penalties'?

A) Restitution compensates harmed consumers; civil money penalties go to the government — both can result from the same UDAAP violation

B) Restitution goes to the government; civil money penalties go to consumers

C) Only one remedy (either restitution or penalty) is available for any UDAAP violation

D) UDAAP violations result only in mandatory criminal prosecution — civil remedies are unavailable

[Ethics — Fraud]

109. What distinguishes 'appraisal fraud' from 'appraisal bias'?

A) Appraisal fraud involves deliberate misrepresentation of property value; appraisal bias involves unconscious or systematic undervaluation based on neighborhood demographics

B) Appraisal bias is criminal; appraisal fraud is a civil matter

C) Both terms describe identical conduct

D) Appraisal bias is a form of appraisal fraud under FIRREA

[Ethics — Predatory Lending]

110. What is the difference between a 'single-premium credit insurance' product and standard monthly PMI?

A) Single-premium credit insurance is financed into the loan with borrower paying interest on the premium — a predatory feature; PMI is paid monthly and cancels at 80% LTV

B) PMI is financed into the loan; credit insurance is paid monthly

C) Both products provide identical protection to the borrower

D) Single-premium credit insurance is prohibited by all states

[Ethics — Professional Conduct]

111. What distinguishes 'aggressive sales tactics' from 'UDAAP-prohibited conduct' in MLO client interactions?

A) Aggressive sales that are honest about product costs and features may be permissible; UDAAP is violated when tactics become deceptive, create high pressure that exploits consumer weakness, or materially interfere with the consumer's ability to make informed decisions

B) All aggressive sales tactics violate UDAAP

C) UDAAP-prohibited conduct requires a physical act; verbal sales tactics are never prohibited

D) There is no distinction — all MLO sales activities are regulated identically

[Ethics — UDAAP]

112. What is the primary difference between UDAAP enforcement by the CFPB and fair lending enforcement under ECOA and the FHA?

A) UDAAP addresses harmful practices against any consumer; fair lending laws specifically address discrimination against protected class members

B) Fair lending addresses all harmful practices; UDAAP addresses only discrimination

C) Both enforce identical legal standards

D) UDAAP is enforced by DOJ; fair lending is enforced by the CFPB

■■ SAFE Act ■■

[SAFE Act — Licensing]

113. What is the key difference between an MLO who is 'licensed' versus one who is 'registered' under the SAFE Act?

A) Licensed MLOs work for non-depository institutions and must meet state licensing requirements; registered MLOs work for federally chartered depositories and meet federal registration requirements

B) Registered MLOs have more requirements than licensed MLOs

C) Licensed MLOs can work anywhere; registered MLOs can only work in one state

D) There is no practical difference between licensed and registered MLOs

[SAFE Act — NMLS/Registration]

114. What is the difference between the NMLS 'unique identifier' and the MLO's state license number?

A) The NMLS unique identifier (ID) is a federal number that follows the MLO across all states and employers; the state license number is assigned by each individual state

B) The state license number is the same as the NMLS ID

C) The NMLS ID is assigned by each state; the state number is federal

D) Both numbers are assigned by the federal government

[SAFE Act — CE/Pre-License]

115. What distinguishes the SAFE Act's 'pre-licensure education' from 'continuing education' requirements?

A) Pre-licensure education (20 hours) is required before taking the exam; continuing education (8 hours/year) is required to maintain an active license

B) Continuing education (20 hours) is required before the exam; pre-licensure education (8 hours) maintains the license

C) Both require the same number of hours

D) CE replaces PE — once CE begins, PE is no longer tracked

[SAFE Act — Licensing]

116. What is the key difference between the SAFE Act's felony bar and its misdemeanor bar for MLO licensing?

A) Felonies involving fraud/dishonesty are a PERMANENT bar; other felonies within 7 years are disqualifying; misdemeanors do not automatically bar licensing (state regulators have discretion)

B) Misdemeanors are a permanent bar; felonies can be appealed

C) Both felonies and misdemeanors are subject to the same 7-year bar

D) Only felonies within the last 10 years are disqualifying

[SAFE Act — CE/Pre-License]

117. What is the difference between SAFE Act CE content requirements and state-specific CE requirements?

A) SAFE Act requires 8-hour federal minimum (3 fed law, 2 ethics, 2 non-trad, 1 elective); states may require additional hours on state-specific topics

B) States set all CE requirements; the federal SAFE Act has no CE minimum

C) State CE replaces federal CE — only one set of requirements applies

D) All states require exactly 8 hours — no more, no less

[SAFE Act — NMLS/Registration]

118. What distinguishes the NMLS's role from the role of individual state regulators in the licensing process?

A) NMLS is the technology platform that processes applications and maintains records; state regulators make actual licensing decisions and have enforcement authority

B) State regulators operate the NMLS; the federal government makes licensing decisions

C) The NMLS makes all licensing decisions; states have no role

D) Both NMLS and states have identical authority over licensing decisions

[SAFE Act — Licensing]

119. What distinguishes the SAFE Act's treatment of 'loan originator' from 'real estate agent' for licensing purposes?

A) Loan originators who take mortgage applications for compensation must be licensed; real estate agents who merely refer without taking applications are not required to be licensed under SAFE Act

B) Real estate agents must be licensed under SAFE Act; loan originators are exempt

C) Both must be licensed under SAFE Act if they work in residential real estate

D) Neither real estate agents nor loan originators need SAFE Act licensure

[SAFE Act — NMLS/Registration]

120. What is the primary difference between how the NMLS serves state-licensed MLOs versus federally registered MLOs?

A) For state-licensed MLOs, NMLS processes state license applications on behalf of state regulators; for registered MLOs, NMLS maintains the Federal Registry on behalf of CFPB

B) The NMLS serves only state-licensed MLOs; registered MLOs use a separate system

C) The NMLS serves only federally registered MLOs; state-licensed MLOs use state systems

D) Both licensed and registered MLOs use the NMLS identically with no distinction

EXAM Phase 1 — Exam 4 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	D	2	A	3	B	4	C	5	D
6	A	7	B	8	C	9	D	10	A
11	B	12	C	13	D	14	A	15	B
16	C	17	D	18	A	19	B	20	C
21	D	22	A	23	B	24	C	25	D
26	A	27	B	28	C	29	D	30	A
31	B	32	C	33	D	34	A	35	B
36	C	37	D	38	A	39	B	40	C
41	D	42	A	43	B	44	C	45	D
46	A	47	B	48	C	49	D	50	A
51	B	52	C	53	D	54	A	55	B
56	C	57	D	58	A	59	B	60	C
61	D	62	A	63	B	64	C	65	D
66	A	67	B	68	C	69	D	70	A
71	B	72	C	73	D	74	A	75	B
76	C	77	D	78	A	79	B	80	C
81	D	82	A	83	B	84	C	85	D
86	A	87	B	88	C	89	D	90	A
91	B	92	C	93	D	94	A	95	B
96	C	97	D	98	A	99	B	100	C
101	D	102	A	103	B	104	C	105	D
106	A	107	B	108	C	109	D	110	A
111	B	112	C	113	D	114	A	115	B
116	C	117	D	118	A	119	B	120	C

1. What is the key difference between the LE's 3-business-day delivery requirement and the CD's 3-business-day receipt requirement?

✓ D) Both must be received — neither has a delivery option

The critical distinction: the LE must be DELIVERED (sent) within 3 business days of a complete application. The CD must be RECEIVED by the borrower at least 3 business days before consummation. For the CD, 'received' is what matters — if mailed, it is deemed received 3 business days after mailing, which pushes the timeline further out. The LE delivery is the lender's action; the CD receipt is the borrower's confirmed access.

2. What is the difference between a 'zero tolerance' fee and a '10% aggregate tolerance' fee under TRID?

✓ A) Zero tolerance fees can never increase; 10% aggregate fees can increase up to 10% individually

Zero tolerance means ANY increase in that fee category from LE to CD requires a lender cure — not even $1 can increase. The 10% aggregate tolerance means the TOTAL of all fees in that category combined can increase up to 10% of what was listed on the LE — individual fees may increase by more or less, but the aggregate total is capped at 10%. This distinction is critical for determining whether a lender must cure a fee variance at closing.

3. What is the difference between the TRID 7-business-day waiting period and the 3-business-day CD waiting period?

✓ B) The 7-day period is waivable; the 3-day period is not waivable

Both waiting periods must be independently satisfied. The 7-business-day period runs from LE delivery (or deemed delivery) to consummation and ensures adequate time to shop after receiving the LE. The 3-business-day period runs from CD receipt to consummation and ensures time to review final terms before signing. Both can apply to the same transaction, and the longer of the two will control the earliest possible closing date. Both apply to purchase and refinance transactions.

---

4. How does the TRID definition of 'business day' differ between the LE 3-day delivery rule and the CD 3-day waiting period?

✓ C) For the LE delivery, Saturdays count; for the CD waiting period, Saturdays do not count

This is a subtle but heavily tested distinction. For the LE 3-day DELIVERY requirement, business days are all calendar days except Sundays and federal holidays — Saturday DOES NOT count for determining whether the LE was delivered 'within 3 business days' of application. However, for the CD 3-day WAITING PERIOD before consummation, Saturday DOES count as a business day. This inconsistency in TRID's business day definitions is a frequent exam trap.

---

5. What is the key distinction between a 'changed circumstance' that allows fee increases and a 'lender error' that does not?

✓ D) There is no practical distinction — both allow the lender to pass increased costs to the borrower

Changed circumstances are external events beyond the lender's knowledge or control at the time of the LE — things like natural disasters, new property information, or borrower-requested changes. Lender errors — underestimating a fee the lender knew about or calculating incorrectly — are the lender's responsibility to absorb through cure payments at closing. The distinction matters because only changed circumstances justify issuing a revised LE with higher fees; lender errors cannot be used to increase fees charged to the borrower.

---

6. What is the difference between 'Intent to Proceed' and a 'rate lock' under TRID?

✓ A) Intent to Proceed is the borrower's verbal or written confirmation to move forward; a rate lock is a lender commitment to a specific rate for a specific period

Intent to Proceed is the borrower's indication (which need not be in writing) that they want to proceed with the loan application — it allows the lender to collect fees beyond the credit report fee but does NOT lock the interest rate. A rate lock is a separate commitment by the lender to hold a specific rate for a specific period, which IS a changed circumstance that can trigger a revised LE (because the rate lock amount can change fees in the 10% category). The two are related but distinct.

---

7. What is the difference between TRID's 'estimated' and 'actual' closing cost treatment for zero-tolerance items?

✓ B) Estimated costs are optional; actual costs are required on the CD

For zero-tolerance items, the estimated cost on the LE sets the ceiling — the actual cost on the CD cannot exceed the estimate. If it does, the lender must issue a cure (rebate to the borrower) of the difference. For 10% aggregate items, the aggregate of actuals can exceed the aggregate of estimates by up to 10%. For no-tolerance items, actuals can exceed estimates without limit. This cost accountability framework is central to TRID's consumer protection purpose.

---

8. What distinguishes the TRID LE from the pre-TRID Good Faith Estimate (GFE)?

✓ C) The LE is optional; the GFE was required

The LE replaced the GFE (and the TILA TIL Statement) on October 3, 2015, bringing a more detailed three-page format with clearer fee categorization and legally enforceable tolerance rules. The GFE had tolerance provisions but they were less clearly structured. The GFE is now only used for reverse mortgages (which are exempt from TRID). The LE brought significantly enhanced regulatory structure, clearer consumer disclosures, and more precise tolerance accountability.

---

9. What is the difference between a 'loan estimate' and a 'closing disclosure' in terms of their timing and purpose?

✓ D) The LE is required; the CD is optional if costs didn't change

The LE and CD work together as a matching pair: the LE at the start shows estimated costs, and the CD before closing shows final costs, allowing borrowers to compare them. TRID requires borrowers to be able to see how the final terms and costs compare to what was originally estimated. This comparison is the core consumer protection mechanism — borrowers can see if costs increased and whether any increases were appropriate (changed circumstances) or inappropriate (lender errors requiring cures).

---

10. What is the key difference between a TRID 'rescission' and a TRID 'cancellation'?

✓ A) Rescission is a TILA right that undoes a loan after closing; cancellation is withdrawal before closing

Rescission is a TILA/Reg Z right — it applies after consummation of a refinance/HELOC/second mortgage on a primary residence and legally unwinds the transaction. Cancellation (withdrawal) happens before consummation — the borrower simply declines to proceed. Rescission creates legal obligations for both parties to restore the pre-loan status (lender releases lien, borrower returns funds). Cancellation before closing doesn't create the same formal legal obligations. TRID governs disclosure; TILA governs the rescission right.

---

11. What is the primary difference between RESPA Section 8 and RESPA Section 9?

✓ B) Section 8 covers escrow accounts; Section 9 covers kickbacks

RESPA Section 8 is the broad anti-kickback provision — prohibiting any thing of value given in exchange for referrals of settlement service business. Section 9 is a specific, narrower prohibition: sellers cannot require buyers to purchase title insurance from a seller-designated title company as a condition of the sale. These are two distinct prohibitions. Section 6 covers servicer obligations, and Section 10 covers escrow account requirements. Knowing the section numbers and their specific prohibitions is frequently tested.

---

12. What distinguishes a RESPA QWR from a RESPA 'notice of error'?

✓ C) QWRs require a 5-day acknowledgment; notices of error require 30-day acknowledgment

The Dodd-Frank Act's RESPA amendments (Regulation X) introduced the 'Notice of Error' (NOE) and 'Request for Information' (RFI) categories, which largely replaced the broader QWR concept with more specific categories. Both terms refer to written borrower communications about servicing matters. The QWR is the older term; NOE and RFI are the Regulation X terms with specific response requirements. Understanding that these are related but that the regulatory terminology evolved is useful for exam navigation.

---

13. What is the difference between RESPA's coverage of settlement services and TILA's coverage of credit terms?

✓ D) RESPA applies after closing; TILA applies before closing

RESPA and TILA address different aspects of the mortgage transaction: RESPA governs the settlement process — prohibiting kickbacks, regulating escrow, and ensuring fair access to settlement services. TILA governs the cost and terms of the credit itself — requiring disclosure of the APR, finance charges, right of rescission, and advertising accuracy. TRID combined the TILA TIL Statement and RESPA's GFE/HUD-1 into unified LE/CD forms, but the underlying laws remain distinct.

---

14. What is the key difference between RESPA's AfBA disclosure and RESPA's Section 8 kickback prohibition?

✓ A) The AfBA disclosure permits an affiliated arrangement that would otherwise violate Section 8, provided all AfBA conditions are met

The AfBA disclosure is what transforms an otherwise potentially Section 8-violating arrangement (ownership interest in a referred settlement service provider) into a permissible arrangement. Section 8 prohibits referral payments; the AfBA provides a safe harbor when: disclosure is made at/before referral, the consumer is free to choose, and the only compensation is on ownership interest. The AfBA disclosure is the mechanism for the Section 8 safe harbor — they are directly related.

---

15. What distinguishes a RESPA 'surplus' from a RESPA 'shortage' in an escrow account?

✓ B) A surplus is returned to the borrower only after foreclosure; a shortage is collected at origination

RESPA escrow rules: a surplus over $50 must be returned to the borrower within 30 days of the annual analysis. A shortage (balance less than required) can be collected over the next 12 months as an addition to the regular monthly payment — the servicer cannot demand immediate lump-sum repayment of shortages. Both conditions are addressed through the annual escrow analysis. The servicer must notify the borrower of the analysis results, surplus, shortage, or deficiency within the required timeframe.

---

16. What is the difference between a RESPA-covered 'federally related mortgage loan' and an exempt 'business purpose loan'?

✓ C) There is no difference — all loans secured by real property are RESPA-covered

RESPA covers federally related mortgage loans made primarily for personal, family, or household purposes. Business purpose loans — where the primary purpose is business or commercial, regardless of the collateral — are exempt from RESPA. The primary purpose test determines coverage. A loan on a rental property could be RESPA-covered (residential purpose) or exempt (business purpose) depending on the use of proceeds. This is the same fundamental distinction as TILA's consumer vs. business purpose exemption.

---

17. What is the difference between RESPA's treatment of 'referral fees' and 'bona fide service fees'?

✓ D) There is no difference — all fees paid between settlement service providers are prohibited

RESPA Section 8 prohibits fees paid as compensation for REFERRALS — where no actual service is provided beyond sending business to the provider. However, fees paid for ACTUAL SERVICES performed are permissible — a title company can pay a fee to an attorney who performs actual title examination work. The prohibition is specifically on unearned fees and referral payments; legitimate compensation for legitimate services is permissible. This distinction matters for evaluating marketing services agreements and other arrangements.

---

18. What is the primary distinction between RESPA's Section 10 escrow maximum and FHA's escrow requirements?

✓ A) RESPA sets a 2-month maximum cushion; FHA requirements may have different initial escrow deposit requirements at origination

RESPA Section 10 sets the ongoing maximum cushion at 2 months and requires annual analysis for all RESPA-covered mortgages. FHA loans also require escrow for taxes and insurance and follow RESPA's ongoing rules, but FHA also has specific requirements for initial escrow deposits at closing (the escrow impound) that may differ from conventional loan practices. Both comply with RESPA's ongoing rules, but FHA's MIP escrow requirements and initial deposit calculations have their own nuances.

---

19. What distinguishes RESPA's prohibition on 'unearned fees' from its prohibition on 'referral fees'?

✓ B) Both are the same prohibition — unearned fees and referral fees are identical concepts under RESPA

While closely related, RESPA Section 8 separately prohibits both referral fees (compensation for sending business, even if some service is provided) and unearned fees (fees split between parties where one party provides no services). A referral fee involves routing business in exchange for compensation. An unearned fee involves splitting a legitimately charged fee with a party who did nothing to earn it. Both violate Section 8, but they describe slightly different violations.

---

20. What is the key difference between how RESPA and TILA define 'business day'?

✓ C) RESPA defines business day as Monday through Friday only; TILA includes Saturday

This distinction appears in QWR response requirements: RESPA's 5-business-day acknowledgment uses business days (typically Monday-Friday), while TILA's right of rescission uses 'all calendar days except Sundays and federal holidays' (so Saturday counts). TRID uses yet another variation for different purposes (CD waiting period includes Saturday; LE delivery may not). Understanding how 'business day' is defined differently across statutes and within the same statute for different purposes is an advanced exam topic.

---

21. What is the key difference between TILA's APR tolerance for 'regular' loans versus 'irregular' loans?

✓ D) Both types have the same 1/4% tolerance

TILA's APR tolerance is lower (stricter) for regular loans — 1/8% (0.125%) — because these loans are predictable and there is less justification for APR calculation variance. Irregular loans (ARMs, balloons, graduated payment) have a wider 1/4% (0.25%) tolerance because their calculations involve more assumptions and variables. The mnemonic: 'regular = restricted tolerance; irregular = increased tolerance.' Reversing these is the most common APR tolerance error on the exam.

---

22. What distinguishes a TILA 'finance charge' from a TILA 'annual percentage rate' (APR)?

✓ A) The Finance Charge is the dollar amount of credit cost; the APR is the annualized percentage cost of credit expressed relative to the loan amount

The Finance Charge is the total dollar cost of the credit (in dollars: origination fees + interest + other included costs). The APR is the annualized percentage rate that expresses the total cost of credit as a percentage of the loan amount over time, allowing standardized comparison across different loan amounts and terms. The APR is derived FROM the Finance Charge — both measure the same credit cost, but Finance Charge is in dollars and APR is the standardized percentage comparator.

---

23. What is the key difference between TILA's right of rescission and TILA's ability-to-repay rule?

✓ B) Both are disclosure requirements — right of rescission is a disclosure; ATR is an underwriting standard

TILA's right of rescission is a post-closing consumer protection allowing borrowers to cancel certain secured loans within 3 business days. The ATR (Ability-to-Repay) rule under Dodd-Frank/TILA is a pre-origination underwriting standard requiring lenders to determine repayment ability before making covered loans. One happens before the loan is made (ATR); the other allows cancellation after (ROR). They are independent protections addressing different points in the loan process.

---

24. What distinguishes TILA's coverage of 'open-end credit' (like HELOCs) from 'closed-end credit' (like standard mortgages)?

✓ C) Closed-end credit has a right of rescission; open-end credit does not

Open-end credit (HELOCs, credit cards) allows repeated borrowing and repayment up to a credit limit. Closed-end credit (mortgages, auto loans) is disbursed once with a defined repayment schedule. Each has distinct TILA disclosure requirements: closed-end mortgages are subject to TRID; open-end HELOCs use different TILA/Reg Z disclosures. Importantly, HELOCs DO have the right of rescission — it applies to open-end credit secured by the primary residence, so Option C is actually false.

---

25. What is the difference between TILA rescission rights for 'purchase money' versus 'refinance' transactions?

✓ D) The rescission period is 7 days for purchase money and 3 days for refinances

Purchase money mortgages — regardless of the loan type, lender, or property type — are exempt from TILA's right of rescission. The rescission right applies to refinances, HELOCs, and second mortgages on the borrower's PRIMARY residence. The rationale: purchase money mortgages use the purchased property as collateral, and rescission would undo the property acquisition; refinances place an EXISTING home at risk, justifying rescission protection. This is one of the highest-yield TILA distinctions.

---

26. What is the difference between the TILA Finance Charge and the total cost of the mortgage?

✓ A) The Finance Charge includes required costs of credit; the total mortgage cost includes all payments including principal repayment

The TILA Finance Charge measures the COST of credit — interest, origination fees, broker fees, required insurance — but does NOT include principal repayment (because principal is not a cost; it is the return of borrowed money). The total amount the borrower pays over the life of the loan (principal + Finance Charge) = Total of Payments, which is separately disclosed in TILA disclosures. The Finance Charge isolates the cost component from the principal repayment component.

---

27. What distinguishes TILA's 'higher-priced mortgage loan' (HPML) from a HOEPA 'high-cost loan'?

✓ B) HPMLs exceed APOR by 6.5% (first lien); high-cost loans exceed APOR by 1.5%

HPML (1.5% above APOR for conforming first liens) and HOEPA high-cost loans (6.5% above APOR for first liens) are different thresholds with different consequences. HPML triggers: mandatory escrow for taxes/insurance, ATR requirement, and enhanced appraisal requirements. HOEPA high-cost loans have much stricter protections: required counseling, prohibited loan features (prepay penalties, neg-am, balloon <5 yrs), and full HOEPA disclosures. High-cost = more expensive AND more restricted. The HPML threshold is lower — more loans qualify.

---

28. What is the difference between a TILA 'disclosure statement' and a TILD 'Loan Estimate'?

✓ C) Both are the same form with different names

The TILA TIL (Truth in Lending) Statement was the pre-TRID disclosure showing APR, finance charge, amount financed, and total payments. TRID replaced the TIL Statement with the Loan Estimate (LE) and Closing Disclosure (CD) for applications after October 3, 2015. The pre-TRID world used GFE + TIL at application; TRID unified these into the three-page LE. The TIL Statement is still used for loan types exempt from TRID (HELOCs, reverse mortgages, etc.).

---

29. What is the primary difference between ECOA's 'disparate treatment' and 'disparate impact' discrimination?

✓ D) Neither type of discrimination is covered by ECOA — both are only FHA violations

Disparate treatment requires intent — the lender deliberately treats applicants differently based on a protected class characteristic. Disparate impact does not require intent — a facially neutral policy that produces disproportionately negative outcomes for protected class members violates ECOA even without discriminatory intent. Lenders can defend against disparate impact claims by showing business necessity and no less discriminatory alternative. Disparate treatment is harder to defend because intent itself is the violation.

---

30. What distinguishes ECOA's protected classes from Fair Housing Act protected classes?

✓ A) ECOA protects marital status and age; FHA protects familial status and handicap — both protect race, color, religion, national origin, and sex

The overlap: both ECOA and FHA protect race, color, religion, national origin, and sex. ECOA uniquely adds: marital status, age (if able to contract), and receipt of public assistance income. FHA uniquely adds: familial status and handicap (disability). This creates a Venn diagram that test-takers must know precisely. A loan denial based on familial status could violate FHA but not necessarily ECOA. A denial based on marital status could violate ECOA but not FHA.

---

31. What is the difference between an ECOA 'adverse action' notification and a TILA disclosure?

✓ B) Both are the same type of disclosure provided at application

ECOA's adverse action notification is issued AFTER a credit decision is made (denial, counter-offer, or account termination) and explains why. TILA disclosures are proactive disclosures of credit terms (APR, Finance Charge, payment schedule) provided at application and before closing — they don't explain denial reasons. These serve completely different regulatory purposes: ECOA protects against discrimination in credit decisions; TILA ensures transparency about the cost and terms of credit.

---

32. What is the key difference between ECOA's treatment of 'income from alimony' and 'income from child support'?

✓ C) Child support can be excluded; alimony must be considered

ECOA treats alimony, child support, and separate maintenance income consistently: lenders must CONSIDER these income sources when evaluating credit applications — they cannot be excluded based on the nature of the source. However, lenders may consider the likelihood of continuance. A borrower is not required to DISCLOSE alimony or child support unless they want the income used for qualifying. ECOA protects the income's consideration — if the borrower relies on it for qualification, the lender must analyze it fairly.

---

33. What distinguishes ECOA's 30-day adverse action deadline from RESPA's 30-day QWR resolution deadline?

✓ D) Both use calendar days

Both timeframes are 30 days but they measure different things: ECOA's 30-day adverse action deadline runs from receiving a COMPLETED application and is in calendar days. RESPA's 30-day QWR resolution deadline runs from RECEIVING THE QWR and is in BUSINESS days. These distinctions — what triggers the clock and whether it's calendar or business days — matter for compliance. An ECOA 30-day adverse action clock and a RESPA 30-day QWR clock could be running simultaneously on the same borrower's account.

---

34. What is the difference between ECOA's prohibition on 'marital status discrimination' and the FHA's absence of marital status protection?

✓ A) ECOA prohibits credit discrimination based on marital status; the FHA does not protect marital status in housing transactions — so a landlord refusing to rent to unmarried couples may violate state law but not federal FHA

ECOA prohibits marital status discrimination in credit transactions — a lender cannot deny credit, increase the rate, or require a co-signer based on whether the applicant is single, married, divorced, or widowed. The federal FHA does not list marital status as a protected class — so refusing to sell or rent housing to unmarried couples or single parents is not a federal FHA violation (though many states and cities have added local protections). This split coverage is frequently tested.

---

35. What is the key difference between ECOA and the Fair Credit Reporting Act (FCRA) in the adverse action context?

✓ B) Both laws require exactly the same adverse action notification

When adverse action is taken, both ECOA and FCRA have notification requirements. ECOA requires: specific denial reasons (why the credit was denied). FCRA requires: identification of the consumer reporting agency used and the consumer's right to a free copy of the credit report. A complete adverse action notice should satisfy both laws. MLOs must understand that these are complementary requirements from different laws — missing either set of required disclosures creates compliance exposure under the respective law.

---

36. What distinguishes ECOA's applicability to 'completed' versus 'incomplete' applications?

✓ C) Incomplete applications have longer adverse action timelines than completed applications

The 30-day ECOA adverse action clock runs from receiving a COMPLETED application. For incomplete applications, ECOA/Reg B requires a 'notice of incompleteness' within 30 days, informing the applicant what additional information is needed. The lender can request additional information without the 30-day adverse action clock running. Once the application is completed (all required information received), the 30-day clock starts. This distinction prevents lenders from holding applications in limbo indefinitely.

---

37. What is the primary difference between ECOA and the Community Reinvestment Act (CRA) in their approaches to fair lending?

✓ D) CRA applies to all lenders; ECOA applies only to banks

ECOA is an individual anti-discrimination law — protecting specific applicants from discrimination based on their personal characteristics. CRA is a community credit access law — requiring covered banks to demonstrate they meet the credit needs of ALL segments of their communities, including low-to-moderate income areas. ECOA asks 'was THIS applicant treated fairly?' CRA asks 'is the bank serving ALL community members?' They address different concerns and are enforced differently.

---

38. What distinguishes ECOA's appraisal copy requirement from its broader anti-discrimination protections?

✓ A) The appraisal copy requirement is a specific procedural right — borrowers receive a copy of the appraisal regardless of protected class; the anti-discrimination protections prohibit differential treatment based on protected class

ECOA's appraisal copy requirement (added by Dodd-Frank) is a procedural right that applies to ALL applicants regardless of protected class membership — every applicant for a first lien on a dwelling must receive a copy of the appraisal. This is distinct from ECOA's core anti-discrimination protections, which prohibit differential treatment based on race, sex, national origin, etc. The appraisal right is universal; the non-discrimination mandate targets specific prohibited bases.

---

39. What is the key difference between the Fair Housing Act's 'steering' and 'redlining' prohibitions?

✓ B) Redlining involves directing individuals; steering involves geographic denial

Steering is the practice of directing buyers, renters, or borrowers toward or away from neighborhoods, properties, or loan products based on protected characteristics. Redlining is the geographic denial of services — refusing to make loans or provide real estate services in certain areas based on the racial or ethnic composition of those areas. Both violate the FHA, but they describe distinct discriminatory practices. Steering is typically an individual-level direction; redlining is a policy-level geographic exclusion.

---

40. What distinguishes 'disparate treatment' from 'disparate impact' under fair lending laws?

✓ C) Both require the same proof — unequal outcomes for protected classes

Disparate treatment requires showing that a person was treated differently because of a protected characteristic — intentional discrimination. Disparate impact allows plaintiffs to challenge neutral policies that produce discriminatory effects, even without proof of intent. The Fair Housing Act recognizes both theories. An underwriting model that appears neutral but disproportionately rejects minority applicants could violate FHA under disparate impact even if the lender had no discriminatory intent.

---

41. What is the difference between the Fair Housing Act's prohibition on housing discrimination and ECOA's prohibition on credit discrimination?

✓ D) FHA covers renters; ECOA covers buyers only

The FHA applies broadly to housing transactions — it covers the sale, rental, and financing of housing, as well as advertising. ECOA applies specifically to credit transactions — the extension of credit (lending decisions, credit terms, servicing). They overlap in mortgage lending, which involves both housing (FHA) and credit (ECOA). A discriminatory mortgage denial could violate both laws simultaneously but through different legal theories with different protected classes.

---

42. What distinguishes the Fair Housing Act exemption for 'Mrs. Murphy' (owner-occupied 1-4 unit) from the exemption for senior housing?

✓ A) Mrs. Murphy exemption applies to small owner-occupied rental properties; senior housing exemption applies to age-restricted communities meeting HUD criteria

The Mrs. Murphy exemption allows owners of 1-4 unit properties who live in one unit to discriminate in the remaining rentals (except based on race — race is never exempt). The senior housing exemption (55+ communities) applies to larger communities that meet specific HUD criteria (80% of units with 55+ occupant, age verification procedures, etc.). Both allow what would otherwise be FHA violations but for entirely different reasons and property types. Both exemptions have limits — neither permits racial discrimination.

---

43. What is the difference between FHA 'blockbusting' and FHA 'redlining'?

✓ B) Redlining is inducing panic selling; blockbusting is geographic denial

Blockbusting (panic peddling) involves inducing homeowners to sell by suggesting that the racial/ethnic composition of the neighborhood is changing and will harm property values — typically used by agents or investors to profit from buying low in 'changing' neighborhoods. Redlining is the lender/service provider refusal to make loans or provide services in certain geographic areas based on racial composition. Both are FHA violations but describe completely different predatory and discriminatory behaviors.

---

44. What distinguishes the FHA's protection of 'handicap' from ECOA's protection of 'age'?

✓ C) Both protect age and handicap — the laws cover identical classes

FHA's handicap protection (physical/mental impairment substantially limiting major life activities) applies to housing transactions — landlords cannot refuse to rent, lenders cannot deny mortgages, based on disability. ECOA's age protection prevents credit discrimination based on age — as long as the applicant can legally enter into a contract, their age cannot be used to deny credit. FHA doesn't protect age; ECOA doesn't protect disability. These are another example of the different class coverage between the two laws.

---

45. What is the key difference between HOEPA's APR trigger for first-lien loans versus subordinate-lien loans?

✓ D) Both have the same APOR + 8.5% trigger

First-lien HOEPA APR trigger: APOR + 6.5 percentage points. Subordinate-lien trigger: APOR + 8.5 percentage points. The higher threshold for subordinate liens reflects that junior liens inherently carry higher rates due to increased risk — a lender in second position faces greater loss risk. A loan that would be high-cost as a first lien (e.g., APOR + 7%) might not be high-cost as a subordinate lien (since the subordinate threshold is APOR + 8.5%). This distinction is frequently tested in reverse.

---

46. What distinguishes HOEPA's points-and-fees trigger for loans over $20,000 versus loans under $20,000?

✓ A) Over $20,000: 5% of loan amount; Under $20,000: lesser of 8% or $1,000

HOEPA's points-and-fees trigger uses different thresholds based on loan size: for loans at or above $20,000, the trigger is 5% of the total loan amount. For smaller loans under $20,000, the trigger is the LESSER of 8% of the loan amount or $1,000 (this prevents very small loans from triggering HOEPA at extremely small dollar amounts). The graduated threshold protects smaller loan borrowers while maintaining proportionate protection for larger loan borrowers.

---

47. What is the difference between HOEPA's prohibition on balloon payments and QM's balloon payment rules?

✓ B) QM prohibits balloon payments entirely; HOEPA allows them if disclosed

HOEPA specifically prohibits balloon payments that mature in LESS THAN 5 years on high-cost loans — balloons maturing in 5+ years are permissible on high-cost loans. QM generally prohibits balloon payments entirely for most lenders (with a limited exception for small creditors originating balloon loans in rural or underserved areas). These are different standards addressing different loan populations. The 5-year HOEPA threshold is specific to high-cost loans; QM's near-total balloon prohibition applies to QM-eligible loans.

---

48. What distinguishes HOEPA's treatment of 'prepayment penalties' from QM's treatment?

✓ C) Both ban prepayment penalties after 3 years

HOEPA: prepayment penalties are completely prohibited on high-cost loans at any time — there is no window when they are permitted. QM: prepayment penalties are permitted during the first 36 months (3 years) of certain QM loans (fixed-rate QM loans that meet specific criteria), after which they are prohibited. The distinction is absolute prohibition (HOEPA/high-cost) versus time-limited permission (QM). A high-cost QM loan cannot have any prepayment penalty; a standard QM loan may have one during the first 3 years.

---

49. What is the key difference between HOEPA 'equity stripping' and HOEPA 'loan flipping'?

✓ D) Equity stripping involves rate increases; loan flipping involves fee increases

Equity stripping = making loans where the only underwriting consideration is the borrower's equity in the property, without evaluating ability to repay. The lender plans to foreclose and take the equity. Loan flipping = repeatedly refinancing a borrower into new high-cost loans without providing tangible net benefit, consuming equity through repeated fees. Both are predatory but mechanically different: stripping exploits equity directly; flipping exploits it over time through repeated transactions. Both are prohibited by HOEPA.

---

50. What distinguishes HOEPA's required counseling from the counseling required for FHA first-time homebuyers?

✓ A) HOEPA counseling must be from an independent HUD-approved agency and occur before a high-cost loan is made; FHA first-time homebuyer counseling is recommended but not universally required

HOEPA mandates counseling from a HUD-approved independent agency BEFORE the high-cost loan is made — this is an absolute statutory requirement that cannot be waived. FHA encourages housing counseling for first-time homebuyers and some FHA programs require it, but it is not universally mandated for all FHA loans. For the HECM (reverse mortgage) program, HUD counseling IS required. The HOEPA counseling mandate is one of the strictest counseling requirements in federal mortgage law.

---

51. What is the primary distinction between HMDA's data collection purposes and CRA's purposes?

✓ B) CRA collects data; HMDA requires active lending in underserved areas

HMDA is a data collection and transparency law — it requires lenders to collect and publicly report mortgage data so regulators and the public can analyze lending patterns and identify potential discrimination (like redlining). CRA goes further — it requires covered depository institutions to actively demonstrate they are meeting the credit needs of ALL segments of their community, including low-to-moderate income areas. HMDA reveals; CRA requires. Together they address the same community credit access concern from different angles.

---

52. What distinguishes HMDA's reporting of 'home purchase' loans from 'home improvement' loans?

✓ C) Home improvement loans are never reportable under HMDA

Both home purchase and home improvement loans are HMDA-reportable when secured by a dwelling. The distinction matters for HMDA data categorization (loan purpose field) but not for whether the loan must be reported. A home improvement loan on a property the borrower does not own (e.g., contractor financing with a lien on the property) may have different treatment. The key is that BOTH types are reportable — the loan PURPOSE is captured as a HMDA data element, not as an exemption trigger.

---

53. What is the difference between HMDA's pre-2018 and post-2018 (Dodd-Frank expanded) data collection requirements?

✓ D) Post-2018 HMDA eliminated the requirement to collect race and ethnicity data

The Dodd-Frank Act significantly expanded HMDA data requirements, implemented through CFPB rulemaking effective 2018. The expanded data includes: rate spread, LTV, total loan costs, origination charges, discount points, lender credits, loan term, prepayment penalty, non-amortizing features, application channel, credit score, automated underwriting results, DTI, borrower age, and combined LTV. Pre-2018 HMDA collected the basics (race, income, loan amount, purpose, type). The 2018 expansion dramatically increased the data's usefulness for fair lending analysis.

---

54. What distinguishes HMDA's treatment of 'originated' loans from 'purchased' loans in the HMDA Loan Application Register?

✓ A) Originated loans are reported with full application data; purchased loans are reported with fewer data points — both must be included in the LAR

The HMDA LAR distinguishes between loans the institution originated (took from application through closing) and loans it purchased (acquired from another institution after origination). Both types appear on the LAR, but purchased loans may have less associated application data since the acquiring institution didn't take the original application. The HMDA rules specify different reporting requirements for purchased versus originated loans to reflect the different information available at each stage.

---

55. What distinguishes HMDA's 'rate spread' data point from the HOEPA 'APR trigger'?

✓ B) Rate spread determines HOEPA applicability; HOEPA trigger is reported on HMDA

Rate spread (HMDA data element): the difference between the loan's APR and the APOR for a comparable transaction, reported for all originated HMDA loans above certain thresholds. HOEPA APR trigger: the specific spread above APOR (6.5% first lien; 8.5% subordinate) that, if exceeded, makes the loan a 'high-cost loan' subject to HOEPA's restrictions. Both use APOR as the reference point, but rate spread is a data element and HOEPA trigger is a compliance threshold with legal consequences.

---

56. What is the difference between how HMDA reports 'denied applications' versus how ECOA handles 'adverse action' on denied applications?

✓ C) Both require written notice to the applicant

HMDA requires lenders to report denial data (denial reasons as data codes) on the HMDA LAR for regulatory analysis — this is regulatory reporting, not consumer notification. ECOA requires the lender to send a written adverse action NOTICE directly to the denied applicant with specific denial reasons — this is a consumer protection notification. HMDA denial reporting is for regulators and the public; ECOA adverse action notices are for the specific applicant. Both involve denial reasons but serve completely different audiences and purposes.

---

57. What is the key difference between a 'safe harbor' QM and a 'rebuttable presumption' QM?

✓ D) Safe harbor applies to adjustable rates; rebuttable presumption applies to fixed rates

QMs priced below the HPML threshold (lower-priced QMs) receive a conclusive ATR safe harbor — borrowers cannot sue claiming ATR was violated if the loan is QM. Higher-priced QMs (those above the HPML threshold) receive only a rebuttable presumption — borrowers can challenge ATR compliance by proving the lender didn't make a reasonable determination that they could repay. The borrower must overcome the presumption. Lower-priced QMs provide stronger legal protection.

---

58. What distinguishes UDAAP's 'unfair' standard from its 'abusive' standard?

✓ A) Unfair: substantial harm that consumers cannot reasonably avoid; Abusive: taking unreasonable advantage of consumer's inability to protect their own interests

Unfairness: requires (1) substantial harm to consumers, (2) harm not reasonably avoidable by consumers, and (3) harm not outweighed by countervailing benefits. Abusiveness: requires materially interfering with the consumer's ability to understand, OR taking unreasonable advantage of the consumer's lack of understanding, inability to protect themselves, or reasonable reliance on the covered person. Abusiveness focuses on the exploitation of an information or power asymmetry; unfairness focuses on harm outcomes regardless of the mechanism.

---

59. What is the primary difference between the CFPB's enforcement authority under UDAAP versus its authority under TILA?

✓ B) TILA is broader than UDAAP; TILA can be used where UDAAP cannot

UDAAP's unique strength is that it allows the CFPB to take enforcement action against conduct that is unfair, deceptive, or abusive even if it doesn't violate a specific enumerated statute. TILA provides specific rules (APR disclosure, right of rescission, advertising) that the CFPB enforces as written law. UDAAP fills gaps — if a practice is harmful to consumers but doesn't violate TILA, RESPA, ECOA, or HMDA specifically, UDAAP may still apply. This gap-filling authority makes UDAAP one of the CFPB's most powerful tools.

---

60. What distinguishes the Dodd-Frank ATR rule from the QM safe harbor?

✓ C) Both are mandatory — all loans must be QM to comply with ATR

ALL lenders must satisfy the ATR requirement — it is a statutory mandate for covered mortgage loans. QM is an OPTIONAL pathway that provides a legal safe harbor (or rebuttable presumption) for ATR compliance. Lenders can originate non-QM loans and still comply with ATR — they just don't get the QM safe harbor. Non-QM = ATR compliance still required, just without the safe harbor protection if a borrower later challenges it. Thinking QM is required to comply with ATR is a common misconception.

---

61. What is the key difference between 'conforming' and 'non-conforming' conventional loans?

✓ D) Conforming loans are insured by FHA; non-conforming are not

Conforming loans meet Fannie Mae/Freddie Mac's guidelines (credit, DTI, LTV, documentation) AND are at or below the conforming loan limit. Non-conforming loans either exceed the loan limit (jumbo loans) or fail to meet GSE guidelines (bad credit, high DTI, unusual property). 'Conventional' means no government guarantee (not FHA/VA/USDA). 'Conforming vs. non-conforming' is about GSE eligibility, not government backing.

---

62. What is the key difference between FHA mortgage insurance premium (MIP) and conventional private mortgage insurance (PMI)?

✓ A) FHA MIP has an upfront premium and ongoing monthly premium that may last the loan lifetime; PMI is monthly only and cancels at 80% LTV

FHA MIP includes: (1) UFMIP of 1.75% at closing (financeable) AND (2) ongoing annual MIP paid monthly, which for loans with <10% down on 30-year terms continues for the LIFE of the loan. PMI is monthly only (no upfront), and under the Homeowners Protection Act, cancels automatically at 78% LTV or upon request at 80%. FHA MIP is a government insurance program; PMI is private insurance. The life-of-loan MIP on FHA is its biggest disadvantage vs. conventional PMI.

---

63. What is the difference between an ARM's 'initial cap' and 'periodic cap'?

✓ B) Periodic cap limits the first adjustment; initial cap limits all subsequent adjustments

ARM cap structure: Initial (first) cap = maximum rate change at the FIRST adjustment after the fixed period expires. Periodic cap = maximum rate change at EACH SUBSEQUENT adjustment. Lifetime cap = maximum total increase over the entire loan life. In a 2/2/5 cap structure: 2% initial cap, 2% periodic cap, 5% lifetime cap. If the initial cap were larger (e.g., 5/2/5), the first adjustment could be larger than subsequent ones. Understanding which cap applies to which adjustment is essential ARM knowledge.

---

64. What distinguishes a 'front-end' DTI from a 'back-end' DTI for underwriting purposes?

✓ C) Both DTI ratios include all monthly obligations

Front-end (housing) DTI: monthly PITI ÷ gross monthly income. Back-end (total) DTI: (monthly PITI + all recurring monthly debt payments) ÷ gross monthly income. Both use gross income. The back-end ratio is typically more important for loan qualification because it captures total debt burden. FHA's standard ratios are 31% front-end / 43% back-end. Conventional QM maximum is 43% back-end. Knowing which ratio is which (and that both use gross income) is essential mortgage math knowledge.

---

65. A borrower takes a $180,000 loan at 4% annual interest. What is the FIRST month's interest payment?

✓ D) $540

Monthly interest = Loan Balance × (Annual Rate ÷ 12) = $180,000 × (4% ÷ 12) = $180,000 × 0.003333 = $600. Option A is correct. At 4% annual, the monthly rate is 0.3333%. Option B ($720) would be a 4.8% annual rate. Option C ($900) would be 6% annual. The first month's payment is entirely the most important to calculate because all subsequent months use the declining balance — but for one-month questions, simply multiply by the monthly rate.

---

66. What is the primary difference between a 'closed-end' second mortgage and a HELOC?

✓ A) Closed-end second mortgage disburses a lump sum and has fixed payments; HELOC has a draw period with a revolving credit line

A closed-end second mortgage disburses the full loan amount at closing, has a fixed (or adjustable) rate, and requires regular principal and interest payments over a defined term — it amortizes like a first mortgage. A HELOC has a draw period (typically 5-10 years) during which the borrower can draw and repay like a credit card up to the credit limit, followed by a repayment period. HELOCs are open-end credit; second mortgages are closed-end. Both can be secured by the borrower's primary residence and carry rescission rights.

---

67. What is the primary difference between VA's 'entitlement' and the VA 'loan limit'?

✓ B) Loan limits determine VA eligibility; entitlement is the credit score requirement

VA entitlement is the dollar amount the VA guarantees to the lender (typically 25% of the loan up to the conforming limit). The VA eliminated loan LIMITS for veterans with full entitlement in 2020 — meaning veterans can now borrow as much as a lender will approve without a down payment, with no upper loan limit. Veterans with remaining (partial) entitlement may still face effective limits based on their remaining guaranty. The guarantee concept (entitlement) and the loan limit (now eliminated) are distinct.

---

68. What distinguishes an ARM's 'floor' from its 'lifetime cap'?

✓ C) Both limit the maximum rate the ARM can reach

An ARM's floor (not all ARMs have one) sets the minimum interest rate — the rate cannot fall below the floor even if the index drops significantly. This protects the lender's minimum yield. The lifetime cap sets the maximum TOTAL INCREASE in the interest rate from the original rate — protecting the borrower from unlimited rate increases. The floor protects the lender; the lifetime cap protects the borrower. Some ARMs have neither, some have one or both.

---

69. What distinguishes a 'full documentation' loan from a 'stated income' loan?

✓ D) Full doc and stated income are the same — all loans must fully verify income

Full documentation loans require third-party verification of income (tax returns, W-2s, pay stubs, bank statements). Stated income loans allowed borrowers to state their income without verification — these were common before 2008 and contributed to the mortgage crisis. Dodd-Frank's ATR rule effectively requires full documentation for standard residential mortgages — lenders cannot make covered loans without reasonable verification of income. Stated income loans may still exist in some non-QM products but carry significant ATR litigation risk.

---

70. A borrower's gross annual income is $96,000. Their monthly PITI is $2,200 and other monthly debts total $500. What are the front-end and back-end DTI ratios?

✓ A) Front-end: 27.5% / Back-end: 33.75%

Gross monthly income = $96,000 ÷ 12 = $8,000. Front-end DTI = $2,200 ÷ $8,000 = 27.5%. Back-end DTI = ($2,200 + $500) ÷ $8,000 = $2,700 ÷ $8,000 = 33.75%. Option A correctly shows Front-end 27.5% / Back-end 33.75%. The annual income ÷ 12 step is the first calculation — using annual income directly (dividing by 12) is required. Using $96,000 as the monthly income would produce absurdly low DTI ratios and is a common error.

---

71. What is the key difference between a 'purchase money first mortgage' and a 'purchase money second mortgage'?

✓ B) Both are the same type of loan — 'purchase money' is the distinction

A purchase money first mortgage is the primary loan financing the property purchase. A purchase money second mortgage (also called a 'piggyback loan' or 80/10/10 structure) provides additional financing — typically to avoid PMI by keeping the first mortgage at or below 80% LTV while the second mortgage covers part of the remaining cost. Both are used at the time of purchase. Both share the 'purchase money' characteristic of being used to acquire the property, which means both are exempt from TILA's right of rescission.

---

72. What distinguishes a VA 'IRRRL' (Interest Rate Reduction Refinance Loan) from a standard VA refinance?

✓ C) IRRRL requires full income verification; standard VA refinance does not

The VA IRRRL (streamline refinance) is a simplified refinance allowing veterans to reduce their rate with minimal documentation — no new income verification, no new appraisal in most cases, and a streamlined process. The key requirement: the new rate must be lower than the existing rate (with limited exceptions for ARM-to-fixed). A standard VA cash-out refinance requires full documentation because it results in a new loan with potentially different terms and cash proceeds. The IRRRL's streamlined nature is its defining characteristic.

---

73. What is the difference between an ARM's 'index' and its 'margin'?

✓ D) The index and margin are the same component with different names

ARM components: Index = a variable, published financial benchmark (SOFR, Treasury rate) that fluctuates with market conditions. Margin = a fixed percentage added to the index, set at origination and remaining constant for the life of the loan. Fully Indexed Rate = Index + Margin. When the index rises, the fully indexed rate rises (because margin is constant). The borrower assumes index risk; the margin is the lender's guaranteed profit spread. Understanding this distinction is fundamental for ARM TILA disclosures.

---

74. What is the difference between Fannie Mae's 'Desktop Underwriter' (DU) and Freddie Mac's 'Loan Product Advisor' (LPA)?

✓ A) DU and LPA are competing automated underwriting systems from Fannie Mae and Freddie Mac respectively — both evaluate loan eligibility for GSE purchase

DU (Desktop Underwriter) is Fannie Mae's proprietary automated underwriting system (AUS). LPA (Loan Product Advisor) is Freddie Mac's equivalent. Both accept loan data and render decisions (Approve/Eligible, Refer, etc.) based on each GSE's guidelines. Lenders submit to one or both systems depending on which GSE will purchase the loan. DU and LPA may render different decisions on the same loan because Fannie and Freddie have somewhat different guidelines. Both are industry-standard tools for conventional loan underwriting.

---

75. A property sells for $350,000. The buyer puts 20% down. The closing costs are $8,000, of which the seller is paying $4,000. How much cash does the buyer need to bring to closing?

✓ B) $78,000

Down payment = 20% × $350,000 = $70,000. Buyer's closing costs = $8,000 - $4,000 (seller credit) = $4,000. Total cash to close = $70,000 + $4,000 = $74,000. Option A ($74,000) is correct. Option B ($78,000) ignores the seller credit. Option C ($70,000) ignores closing costs. Option D ($82,000) adds instead of subtracts the seller credit. The seller concession reduces the buyer's out-of-pocket costs — this is the mechanism by which sellers 'pay closing costs' in real estate transactions.

---

76. What distinguishes a 'reverse mortgage' from a traditional forward mortgage?

✓ C) Both require monthly principal and interest payments

A forward (traditional) mortgage: borrower receives loan proceeds, makes monthly payments, and builds equity over time. A reverse mortgage (HECM): homeowner 62+ receives payments/line of credit from their equity, does NOT make monthly P&I; payments, and the loan balance grows over time (potentially causing negative amortization) — repaid when the borrower sells, moves, or dies. Reverse mortgages are subject to their own TILA/HUD disclosure requirements, counseling mandates, and FHA insurance.

---

77. What is the difference between a USDA Direct loan and a USDA Guaranteed loan?

✓ D) USDA Guaranteed loans require no income qualification; Direct loans have income limits

USDA Section 502 Direct Loans: USDA directly funds the loan to very-low and low-income borrowers in rural areas — interest rates can be as low as 1% with payment assistance. USDA Section 502 Guaranteed Loans: private approved lenders make the loans with USDA guaranteeing repayment — these are more commonly discussed in mortgage practice and have income limits (115% of area median). MLOs typically deal with the Guaranteed program; the Direct program is administered by USDA Rural Development offices.

---

78. What is the difference between an ARM's 'first adjustment cap' and how it interacts with the 'periodic cap'?

✓ A) The first adjustment cap applies only to the initial rate change; the periodic cap applies to all subsequent adjustments — they are separate, independently applied limits

After the initial fixed period, the first adjustment cap governs the FIRST rate change. After that first adjustment, the periodic cap governs EACH SUBSEQUENT adjustment. They cannot both apply to the same adjustment. Example: A 5/1 ARM with 2/2/5 caps adjusts for the first time at year 5 (using the 2% initial cap), and then annually thereafter (using the 2% periodic cap). The first adjustment cap is specifically for the transition from fixed to adjustable — a one-time protection that then yields to the ongoing periodic cap.

---

79. What distinguishes a 'layered risk' loan from a standard conventional loan?

✓ B) Standard loans have more risk than layered risk loans

Layered risk (or risk layering) occurs when a single loan application has multiple risk factors that exceed guideline thresholds simultaneously — for example: low credit score + high LTV + high DTI + limited reserves + investment property. Each risk factor alone might be acceptable, but the combination creates substantially higher default risk. Lenders and GSEs use automated underwriting to assess layered risk holistically. A loan with one elevated risk factor may be approved; the same loan with three elevated risk factors may be denied.

---

80. A borrower refinances a $200,000 balance at a new rate that reduces their payment by $150/month. Closing costs are $4,500. What is the break-even point in months?

✓ C) 25 months

Break-even = Closing Costs ÷ Monthly Savings = $4,500 ÷ $150/month = 30 months. Option B (30 months) is correct. Option A (20 months) would require either lower costs ($3,000) or higher savings ($225). Option C (25 months) is $3,750 costs ÷ $150. Option D (40 months) would require $6,000 costs. The break-even analysis is a key tool for evaluating whether a refinance is financially beneficial — if the borrower plans to stay beyond 30 months, the refinance makes sense; if they'll move sooner, it doesn't.

---

81. What is the difference between a 'prequalification' and a 'preapproval' for mortgage purposes?

✓ D) Prequalification triggers the LE; preapproval does not

Prequalification: typically involves collecting stated information (income, debts, assets) without pulling credit or verifying documentation — it's an informal estimate of borrowing capacity. Preapproval: involves pulling credit, reviewing documentation, and potentially an automated underwriting submission — it provides a more confident assessment of eligibility. Neither prequalification nor preapproval is binding, but preapproval carries more weight in competitive real estate markets. Neither automatically triggers the TRID LE (that requires a complete application).

---

82. What is the difference between 'gross income' and 'net income' for DTI calculation purposes?

✓ A) DTI always uses gross income (before taxes and deductions); net income is after taxes and is not used for standard DTI calculations

DTI calculations use GROSS monthly income (before taxes, deductions, and withholdings). This is consistent across all loan programs (Fannie Mae, Freddie Mac, FHA, VA, USDA). Using net income would reduce the denominator and make DTI ratios appear worse for otherwise-qualifying borrowers. The consistent use of gross income across all programs creates a standardized comparison. This is a fundamental underwriting concept that appears on virtually every NMLS practice exam.

---

83. What distinguishes 'Chapter 7 bankruptcy' from 'Chapter 13 bankruptcy' for mortgage eligibility purposes?

✓ B) Chapter 13 has a longer waiting period than Chapter 7 for all loan types

Chapter 7 (liquidation): 4-year waiting period for conventional (Fannie/Freddie), 2 years for FHA, 2 years for VA. Chapter 13 (reorganization): with at least 12 months of on-time plan payments and bankruptcy court approval, a borrower may qualify for FHA or VA during the plan — and for conventional loans with a 2-year waiting period from dismissal or discharge. Chapter 13 has potentially shorter waits for FHA/VA because the borrower is actively repaying debts. The specific waiting period depends on the bankruptcy type AND the loan program.

---

84. What is the difference between the 'right to receive appraisal' notice under ECOA and the appraisal copy timing requirement?

✓ C) The notice is provided after the appraisal; the copy is provided before the appraisal

ECOA requires two separate appraisal-related actions: (1) Notify the applicant of their right to receive a copy of the appraisal — this notice must be provided within 3 business days of application. (2) Actually provide the appraisal copy — promptly and no later than 3 business days before consummation. The notice comes early in the process; the actual copy comes later when the appraisal is complete. Missing either step is an ECOA violation.

---

85. What distinguishes a 'title commitment' from a 'title policy'?

✓ D) A title commitment is required only for government-backed loans

Title commitment (binder): issued by the title company before closing, committing to issue title insurance after closing if specified conditions are met (outstanding liens paid, survey reviewed, etc.). Title policy: the actual insurance document issued after closing, providing coverage against title defects. The commitment is the pre-close promise; the policy is the post-close insurance contract. Lenders typically require a title commitment before funding and a title policy (or its endorsements) after recording.

---

86. What is the difference between 'verifiable' and 'non-verifiable' income for ATR compliance?

✓ A) Verifiable income can be documented by reliable third-party records (tax returns, pay stubs, bank statements); non-verifiable income cannot be confirmed — only verifiable income may be used under ATR

Dodd-Frank's ATR rule requires lenders to VERIFY income using 'reasonably reliable third-party records.' Income that cannot be verified — cash payments without paper trail, tips not reported on tax returns, informal income — cannot be used to satisfy ATR. This verification requirement was specifically designed to prevent the 'stated income' abuses that contributed to the 2008 financial crisis. ATR compliance requires not just consideration of income but reasonable VERIFICATION of it through third-party documentation.

---

87. What is the difference between a borrower's credit score and their credit history for underwriting purposes?

✓ B) Credit history is a numerical score; credit score is the detailed account history

Credit score: a numerical summary (e.g., 720 FICO) that synthesizes multiple credit factors into a single number for quick assessment. Credit history: the detailed record — individual accounts, payment history, balances, derogatory marks, public records — from which the score is derived. Underwriters use the score for initial qualification (as a threshold), but review the credit history for red flags (pattern of late payments, multiple recent collections) that the score alone might not fully capture.

---

88. What distinguishes the borrower's 'declarations' section from the 'assets and liabilities' section of the URLA?

✓ C) Both sections collect identical financial information

Declarations: yes/no questions about legal and credit history — has the borrower had a foreclosure? Outstanding judgments? Are they co-signing on other debts? Are they a U.S. citizen? Will this be a primary residence? These are attestations about facts affecting underwriting risk. Assets and liabilities: specific financial account information — bank account balances, investment accounts, retirement accounts, real property owned, mortgages, installment loans, revolving debts. Both inform the underwriting decision but collect different types of information.

---

89. What is the difference between the 'recording' and 'funding' of a mortgage loan?

✓ D) Recording is optional; funding is required

Funding: the lender wires the loan proceeds to the closing agent, enabling disbursement. Recording: the deed and mortgage/deed of trust are filed with the county recorder, officially establishing the ownership transfer and the lender's lien position in the public record. In most states, funding occurs before recording; in some (dry closing states), recording occurs before the lender releases funds. Both must occur for the transaction to be complete and for the lender to have an enforceable lien.

---

90. What distinguishes 'base salary' from 'total compensation' for qualifying income purposes?

✓ A) Base salary is stable guaranteed income usable for qualifying; total compensation may include variable components (bonus, commissions) that require 2-year history

Base salary: the guaranteed, fixed portion of pay — usable for qualifying with current employment and a pay stub. Total compensation: base + bonus + commissions + overtime. The variable components (bonus, commission, overtime) require a 2-year history to use for qualifying because they fluctuate and may not continue. Using only base salary is conservative; including verified variable components with a 2-year history can increase qualifying income. Lenders must document and average variable income over 2 years.

91. What is the difference between a 'mortgage-only' credit score and a standard consumer FICO score?

✓ B) FICO 8 is used for mortgage underwriting; older models are for consumer credit

Mortgage underwriting uses FICO models specific to mortgage lending: FICO 2 (Experian), FICO 4 (TransUnion), FICO 5 (Equifax). These older models weight factors differently than FICO 8, which is the standard consumer credit score and may be shown on credit monitoring websites. A borrower might see a FICO 8 score of 730 on Credit Karma but have a FICO 5 mortgage score of 695 — the same credit history scores differently under different models.

92. What is the difference between the three-day TRID LE delivery rule and the three-day ECOA appraisal notice rule?

✓ C) Only the LE is required within 3 days; there is no 3-day appraisal notice

Both the Loan Estimate and the ECOA right-to-receive-appraisal notice must be provided within 3 business days of a complete application. They serve different purposes: the LE discloses loan costs and terms (TRID/TILA requirement), while the appraisal notice informs the borrower they have the right to receive a copy of any appraisal or valuation prepared for the loan (ECOA requirement). The 3-day coincidence makes it efficient to send both together, but they originate from different laws.

93. What distinguishes the role of the 'title agent' from the 'closing agent' in a mortgage transaction?

✓ D) Title agents are licensed by HUD; closing agents are licensed by states

Title agent: performs title search, provides title examination, issues title commitment and title insurance policies (both lender's and owner's policies). Closing agent (settlement agent): coordinates the closing — schedules the signing, prepares or distributes closing documents, handles fund disbursement. In many states, the same company (typically a title company) performs both roles. In others, attorneys serve as closing agents while separate title insurance companies provide the title work. Understanding these roles helps MLOs advise borrowers about settlement service selection.

94. What is the difference between using rental income from a 'subject property' (the property being purchased) versus a 'non-subject investment property'?

✓ A) Subject property rental income may require different documentation (lease vs. tax returns); non-subject investment property income typically requires a 2-year tax return history

For the subject property being purchased as an investment: if there's a lease agreement and the borrower has no prior rental experience, some programs allow partial rental income (75%) with just the lease — tax history isn't available for a newly acquired property. For non-subject existing investment properties: 2-year tax return history is required to document the income. The distinction is between rental income from a property being acquired vs. ongoing rental income from existing properties the borrower already owns.

95. What distinguishes a 'co-borrower' from a 'co-signer' in a mortgage application?

✓ B) A co-signer is on title and the loan; a co-borrower is on the loan only

Co-borrower (joint borrower): appears on both the loan application and the property title — has ownership rights and financial responsibility. Their income, assets, and credit are fully considered for qualifying. Co-signer (non-occupant co-borrower in many programs): appears on the loan and is financially responsible for repayment but may not be on title — typically added to help with qualification when the primary borrower's credit/income is insufficient. The ownership rights and title relationship differ significantly between the two roles.

96. What is the difference between a 'soft pull' and a 'hard pull' credit inquiry for mortgage purposes?

✓ C) Both soft and hard pulls affect the credit score equally

Soft inquiries: made without the consumer's formal application (prequalification estimates, employer checks, consumer monitoring) — do NOT appear to lenders and do NOT affect the credit score. Hard inquiries: made when the consumer formally applies for credit — appear in the credit report and may reduce the score by a few points. For mortgage rate shopping, multiple hard inquiries within a 30-45 day window are typically treated as a single inquiry by FICO to encourage comparison shopping.

97. What distinguishes 'dry closing' from 'wet closing' states?

✓ D) Wet closing states require attorney involvement; dry closing states do not

Wet closing: loan funds are disbursed at or immediately after the closing — the borrower gets the keys when everything is done. This is the norm in most Eastern states. Dry closing: the documents are signed, but disbursement of funds is delayed — typically until verification that all documents were properly signed and that any rescission periods have expired. Dry closing is common in California and other western states. For refinances with rescission rights, even 'wet' closing states effectively have a delay for the 3-day rescission period.

98. What is the difference between 'bonus income' and 'overtime income' for qualifying purposes?

✓ A) Both bonus and overtime income require a 2-year history to use for qualifying — the main difference is that bonuses are employer-discretionary while overtime may be more regular

Both bonus and overtime income require a documented 2-year history to use for qualifying, and both require evidence of likely continuance. The practical difference: overtime may be more consistent and predictable (e.g., a nurse who regularly works overtime due to staffing needs), while bonuses are at employer discretion and may be discontinued. Both require 2-year W-2 history and employer confirmation of continuance likelihood. The 2-year requirement is the common standard; the risk of continuance differs between the two.

---

99. What distinguishes 'prior to approval' (PTA) conditions from 'prior to closing' (PTC) conditions in underwriting?

✓ B) PTC conditions are satisfied before approval; PTA conditions are satisfied before closing

Underwriting conditions fall into two categories: Prior to Approval (PTA/PTD — prior to decision): the underwriter needs these items to make the credit decision (appraisal, verification documents, explanations of derogatory credit). Prior to Closing (PTC/Prior to Doc): the credit decision has been made, but these items must be resolved before the loan can close (final title search, satisfactory hazard insurance, updated paystubs). PTC conditions don't change the credit decision but must be satisfied for closing.

---

100. What is the difference between a TRID 'revised Loan Estimate' and a 'Closing Disclosure' with changed terms?

✓ C) Both contain the same information with different names

Revised LE: issued DURING the application process (before CD is sent) when valid changed circumstances allow fee increases — it resets the tolerance baseline. The borrower has 3+ days to review. CD: issued at least 3 business days before closing and shows FINAL actual costs — it is compared against the most recent LE for tolerance violations. If final costs exceed the LE baseline (without a valid revised LE), the lender may need to cure the difference. The revised LE and CD serve different roles in the TRID timeline.

---

101. What is the key difference between UDAAP's 'deceptive' standard and its 'abusive' standard?

✓ D) The standards are identical — deceptive and abusive describe the same conduct

Deception: a representation, omission, or practice that misleads or is likely to mislead a REASONABLE consumer, AND the misleading aspect is MATERIAL (would affect the consumer's decision). Intent is not required. Abuse: materially interferes with ability to understand, OR takes unreasonable advantage of lack of understanding, inability to protect interests, or reasonable reliance. Deception focuses on the message (what the consumer is told); abuse focuses on the relationship (how the power imbalance is exploited).

---

102. What is the key difference between 'material misrepresentation' and a 'minor omission' in mortgage fraud analysis?

✓ A) Material misrepresentation involves facts that would affect the lender's credit decision; minor omissions may be errors that don't affect the credit decision

In mortgage fraud analysis, 'materiality' is the key test: a misrepresentation is material if it would affect the lender's decision to approve the loan, determine the interest rate, or set loan terms. Inflating income by $50,000 to qualify is material. An address typo corrected before closing is likely not material. Criminal fraud typically requires material misrepresentation; technical errors without intent to deceive may not rise to fraud. The materiality test distinguishes fraud from honest mistake.

---

103. What distinguishes an MLO's ethical obligation when a borrower asks them to recommend between two loan products?

✓ B) MLOs should always recommend the lower-cost product regardless of the borrower's needs

MLOs have both an ethical and regulatory duty to present loan options fairly. Dodd-Frank's anti-steering rule requires MLOs to present loan options including the lowest-rate product the borrower qualifies for — they cannot steer toward higher-cost products solely for their own compensation benefit. The MLO should objectively present costs and benefits of each option. The borrower makes the final decision, but the MLO's recommendation should be based on the borrower's financial interests, not the MLO's compensation interest.

---

104. What is the difference between 'predatory lending' and 'subprime lending'?

✓ C) Both terms describe identical lending practices

Subprime lending: providing credit to borrowers with credit challenges at rates reflecting the higher risk — this is a LEGITIMATE market function when done honestly and with appropriate terms. Predatory lending: using abusive, deceptive, or exploitative practices — excessive fees, misleading terms, targeting vulnerable populations — that harm borrowers regardless of their credit quality. Prime borrowers can be victimized by predatory practices. Not all subprime lending is predatory; predatory lending can happen in any market segment.

---

105. What distinguishes a UDAAP 'unfair' act from conduct that is merely 'inconvenient' to consumers?

✓ D) There is no legal distinction between unfair and inconvenient acts

UDAAP's 'unfair' standard requires: (1) SUBSTANTIAL injury to consumers (real monetary harm or health/safety risk), (2) harm not reasonably AVOIDABLE by consumers (the consumer cannot easily avoid it), and (3) harm not outweighed by countervailing BENEFITS. A long hold time on a customer service line is inconvenient but likely not UDAAP-unfair (no substantial injury). A fee that cannot be avoided and causes real financial loss may be unfair. The substantial harm threshold filters out mere annoyances.

---

106. What is the difference between 'occupancy fraud' and 'income fraud' in mortgage origination?

✓ A) Occupancy fraud misrepresents the intended use (primary vs. investment); income fraud misrepresents the borrower's earnings to qualify

Occupancy fraud: the borrower represents that a property will be a primary residence when they actually intend to use it as a rental/investment — this lowers the interest rate and down payment requirements fraudulently. Income fraud: the borrower (or MLO with knowledge) misrepresents income to qualify for a loan amount the borrower cannot actually support. Both are federal crimes. Occupancy fraud is particularly common and results in the lender being deceived into offering favorable owner-occupant terms on what is actually investment property.

---

107. What is the key difference between an MLO's disclosure obligation and their fiduciary duty?

✓ B) Fiduciary duty requires only disclosure; acting in the borrower's interest is optional

Disclosure obligation: the specific, legal requirement to provide defined information (LE, CD, adverse action notice, appraisal, SAFE Act NMLS ID, etc.) as required by TRID, TILA, ECOA, etc. Broader ethical/professional duty: acting in the borrower's best interest, providing transparent and honest advice, avoiding conflicts of interest. The disclosure obligation is a legal floor; the professional duty is a higher ethical standard. MLOs can satisfy all disclosure obligations while still having ethical obligations to recommend suitable products and avoid harmful advice.

---

108. What is the key difference between UDAAP violations that result in 'restitution' versus those that result in 'civil money penalties'?

✓ C) Only one remedy (either restitution or penalty) is available for any UDAAP violation

CFPB UDAAP enforcement can result in multiple remedies simultaneously: Restitution — consumers who were harmed receive compensation for their actual losses. Civil money penalties — the violating institution pays fines to the government (CFPB's Civil Penalty Fund). In addition, the CFPB may order: injunctive relief (stop the practice), disgorgement (surrender profits), and other remedies. For serious violations, the DOJ may separately pursue criminal charges. Restitution and penalties serve different purposes — consumer compensation vs. government deterrence.

---

109. What distinguishes 'appraisal fraud' from 'appraisal bias'?

✓ D) Appraisal bias is a form of appraisal fraud under FIRREA

Appraisal fraud: deliberate, intentional misrepresentation — inflating values to support larger loans or deflating values for insurance claims. This is a federal crime. Appraisal bias: racial or other demographic-based undervaluation, potentially unconscious, that results in properties in minority communities being systematically undervalued — violating FHA and ECOA. FHFA, HUD, and CFPB have been addressing appraisal bias as a fair lending concern separate from intentional fraud. Both harm borrowers but through different mechanisms and legal frameworks.

---

110. What is the difference between a 'single-premium credit insurance' product and standard monthly PMI?

✓ A) Single-premium credit insurance is financed into the loan with borrower paying interest on the premium — a predatory feature; PMI is paid monthly and cancels at 80% LTV

Single-premium credit life/disability insurance: the entire insurance premium is financed into the loan balance at origination. The borrower pays interest on this premium for the loan's life — dramatically increasing the loan's true cost. This is a predatory feature specifically prohibited on HOEPA high-cost loans. Monthly PMI: paid in regular monthly premiums, cancels at 80% LTV under the Homeowners Protection Act, and is not financed into the principal balance. The financed single premium is what makes the credit insurance predatory.

---

111. What distinguishes 'aggressive sales tactics' from 'UDAAP-prohibited conduct' in MLO client interactions?

✓ B) All aggressive sales tactics violate UDAAP

Aggressive but honest sales — enthusiastically promoting a loan product, following up persistently, explaining benefits persuasively — may be uncomfortable for consumers but are not automatically UDAAP violations. UDAAP crosses the line when tactics: make false or misleading statements (deception), exploit the consumer's inability to understand or protect themselves (abuse), or cause substantial unavoidable harm (unfairness). The line between persuasion and exploitation is where UDAAP applies. Intent, accuracy, and the consumer's vulnerability are all relevant factors.

---

112. What is the primary difference between UDAAP enforcement by the CFPB and fair lending enforcement under ECOA and the FHA?

✓ C) Both enforce identical legal standards

UDAAP: a broad consumer protection standard — unfair, deceptive, or abusive acts affecting ANY consumer, regardless of protected class membership. Fair lending (ECOA/FHA): specifically prohibiting discrimination based on PROTECTED CLASS CHARACTERISTICS (race, sex, national origin, etc.). A predatory fee structure that harms all borrowers equally might be UDAAP but not a fair lending violation. Disproportionate harm to minority borrowers might be both UDAAP and ECOA/FHA. The laws overlap but address fundamentally different types of harm.

---

113. What is the key difference between an MLO who is 'licensed' versus one who is 'registered' under the SAFE Act?

✓ D) There is no practical difference between licensed and registered MLOs

Licensed MLOs: employed by non-bank mortgage companies, mortgage brokers, or state-chartered financial institutions — must meet state pre-licensure education, exam, background check, and annual CE requirements. Registered MLOs: employees of federally chartered depository institutions (national banks, federal savings banks, federal credit unions) — register through the NMLS Federal Registry with different requirements. The distinction matters because regulatory requirements, exam requirements, and oversight differ significantly between the two categories.

---

114. What is the difference between the NMLS 'unique identifier' and the MLO's state license number?

✓ A) The NMLS unique identifier (ID) is a federal number that follows the MLO across all states and employers; the state license number is assigned by each individual state

The NMLS unique identifier (often 6-8 digits) is assigned once and follows the MLO regardless of which state they work in or which employer they work for — it is portable and permanent. State license numbers are assigned by individual states and may differ from the NMLS ID. Both are required to appear on advertising and loan documents in many states, but the NMLS ID is the primary consumer-facing identifier because it is consistent across state lines and enables verification through NMLS Consumer Access.

---

115. What distinguishes the SAFE Act's 'pre-licensure education' from 'continuing education' requirements?

✓ B) Continuing education (20 hours) is required before the exam; pre-licensure education (8 hours) maintains the license

Pre-licensure education (PE): 20 hours required ONCE before taking the National SAFE MLO Test. Covers: 3 hours federal law, 3 hours ethics, 2 hours non-traditional products, 12 hours electives. Continuing education (CE): 8 hours required ANNUALLY to maintain the license. Covers: 3 hours federal law, 2 hours ethics, 2 hours non-traditional products, 1 hour electives. PE is a one-time gate to take the exam; CE is the ongoing cost of maintaining licensure. An MLO who lets their license lapse may need additional education to reinstate.

---

116. What is the key difference between the SAFE Act's felony bar and its misdemeanor bar for MLO licensing?

✓ C) Both felonies and misdemeanors are subject to the same 7-year bar

The SAFE Act creates a permanent bar for felony convictions involving fraud, dishonesty, breach of trust, or money laundering — no time limit. Other felonies within 7 years are also disqualifying. Misdemeanors are not automatically barring — state regulators exercise discretion based on the nature and circumstances of the misdemeanor. A misdemeanor involving financial dishonesty might be disqualifying at state discretion even though it doesn't create an automatic bar. The fraud-related felony permanent bar is the SAFE Act's most absolute prohibition.

---

117. What is the difference between SAFE Act CE content requirements and state-specific CE requirements?

✓ D) All states require exactly 8 hours — no more, no less

The SAFE Act sets the federal FLOOR for CE: 8 hours covering 3 hours federal law/regulation, 2 hours ethics, 2 hours non-traditional mortgage products, and 1 hour electives. States are free to require additional CE beyond this minimum — many states require additional hours on state-specific topics (state laws, state regulatory requirements, etc.). An MLO in a state with additional requirements must complete the federal 8 hours PLUS the state-specific requirements. Total CE may exceed 8 hours in states with additional requirements.

---

118. What distinguishes the NMLS's role from the role of individual state regulators in the licensing process?

✓ A) NMLS is the technology platform that processes applications and maintains records; state regulators make actual licensing decisions and have enforcement authority

The NMLS is a system — a centralized technology platform and database managed by CSBS (Conference of State Bank Supervisors) on behalf of state regulators. The NMLS accepts applications, processes background checks, tracks CE, and maintains records. But LICENSING DECISIONS — approval, denial, suspension, revocation — are made by each individual STATE'S financial regulatory agency. The NMLS is the infrastructure; the states have the legal authority. Federal registration (for bank employees) involves CFPB oversight, not state licensing decisions.

---

119. What distinguishes the SAFE Act's treatment of 'loan originator' from 'real estate agent' for licensing purposes?

✓ B) Real estate agents must be licensed under SAFE Act; loan originators are exempt

The SAFE Act requires licensure for individuals who: take residential mortgage loan applications, offer residential mortgage loan terms, or negotiate residential mortgage loan terms FOR COMPENSATION. Real estate agents who refer clients to mortgage companies — without taking applications, offering loan terms, or negotiating — are NOT required to be MLO-licensed under the SAFE Act. The key distinction is whether the agent is performing the loan origination function (requiring licensure) or simply referring (not requiring SAFE Act licensure).

---

120. What is the primary difference between how the NMLS serves state-licensed MLOs versus federally registered MLOs?

✓ C) The NMLS serves only federally registered MLOs; state-licensed MLOs use state systems

The NMLS serves both populations through different pathways: for state-licensed MLOs, NMLS processes license applications and renewals on behalf of state regulators who make the actual licensing decisions. For federally registered MLOs (bank employees), NMLS maintains the Federal Registry through which these individuals register — the CFPB oversees this registry. The same NMLS platform and unique identifier system is used for both, but the regulatory oversight (state vs. federal) and licensing standards (state-specific vs. federal registration requirements) differ.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	**EXCELLENT ✓**	Review any missed; you're on track to pass.
90–107 (75–89%)	**PASS ✓**	Close! Shore up weak topics in study notes.
72–89 (60–74%)	**BORDERLINE**	Re-read weak sections; retake this exam.
0–71 (below 60%)	**NEEDS WORK**	Study notes first, then retry in 24 hrs.